

GUINEA INSURANCE PLC
FINANCIAL STATEMENTS
31 DECEMBER 2025

GUINEA INSURANCE PLC

Table of Contents	Pages
Corporate information	i - ii
Directors' report	iii - v
Statement of Directors responsibilities	vi
Statement of Corporate Responsibility	vii
Certification of Management's Assessment of Internal Control over Financial Reporting - Managing Director	viii
Certification of Management's Assessment of Internal Control over Financial Reporting - Finance Director	ix
Management's Report on Assessment of Internal Control over Financial Reporting as of 31 December 2025	x
Managements' discussion and analysis	xi
Report of the Statutory Audit Committee	xii
Independent auditor's report	1 - 4
Financial statements:	
Statements of profit or loss and other comprehensive income	5
Statements of financial position	6
Statements of changes in equity	7
Statements of cash flows	8
Statement of Material Accounting Policies	9 - 35
Notes to the financial statements	36 - 74
Other national disclosures:	
- Value added statement	75
- Financial summary	76

Corporate Information

Directors	Mr. Temitope Borishade	Chairman
	Mr. Ademola Abidogun	Managing Director
	Mr. Pius Edobor	Executive Director
	Mrs. Ogonna Offor-Orabueze	Executive Director
	Mrs. Bernice Izilen Okosun	Non-Executive Director
	Dr Nkem Okeke	Non-Executive Director
	Mrs. Ijeoma Pearl Okoro	Non-Executive Director
	Mr. Samuel Onukwue	Non-Executive Director
	Mrs. Chioma Okigbo	Non-Executive Director

Registered office Guinea Insurance House
33, Ikorodu Road
Jibowu
Lagos, Nigeria

Contact details 01-2934575/01-2934577
info@guineainsurance.com
www.guineainsurance.com

Company Secretary Mrs. Chinenye Nwankwo

Company registration number RC1808

Reinsurers African Reinsurance Corporation
WAICA Reinsurance Corporation
Continental Reinsurance Plc
Nigerian Reinsurance Corporation
FBS Reinsurance Limited
ZEP Reinsurance

Bankers Access Bank Plc
Fidelity Bank Plc
First Bank of Nigeria Limited
First City Monument Bank Plc
Guaranty Trust Bank Limited
Jaiz Bank Plc
Keystone Bank Limited
Nirsal Microfinance Bank
Polaris Bank Limited
Providus Bank Plc
United Bank for Africa Plc
Sterling Bank Plc
Wema Bank Plc
Zenith Bank Plc

Corporate information (Cont'd)

Reporting actuary	Logic Professional Services Rear Wing, 4th Floor Oshopey Plaza 17-19, Allen Avenue, Ikeja, Lagos FRC/2016/NAS/00000015016
Estate surveyors and valuers	Ubosi Eleh & Co 27, Obafemi Awolowo Way Ikeja, Lagos FRCN/2014/NIESV/00000003997
Registrar	Cardinal Stone (Registrars) Limited (Formerly City Securities Limited) 358, Herbert Macaulay Way Yaba, Lagos
Auditor	BDO Professional Services ADOL House, 15 CIPM Avenue, Central Business District, Alausa, Ikeja, Lagos, Nigeria. FRC/2024/COY/398515 www.bdo-ng.com

Directors' Report

In compliance with the Companies and Allied Matters Act, 2020 and Insurance Act 2003, the Directors have the pleasure of presenting their report on the affairs of Guinea Insurance Plc ("the Company") together with the audited financial statements and Independent auditors' report for the year ended 31 December 2025

Legal form and principal activities

The Company is a public limited liability company which was initially incorporated as a private limited liability company on 3 December 1958 in accordance with the provisions of the Companies and Allied Matters Act, transacting primarily as a General Insurance business. The Company was formally listed on the Nigerian Stock Exchange On 17 January 1991.

Board of Directors

The Board of Directors of the Company during the year under review and to the date of this report is made up of the following:

DIRECTOR	CAPACITY
Mr. Temitope Borishade	- Chairman
Mr. Ademola Abidogun	- Managing Director
Mr. Pius Edobor	- Executive Director
Mrs. Ogonna Offor-Orabueze	- Executive Director
Mrs. Bernice Izilen Okosun	- Non-Executive Director
Dr Nkem Okeke	- Non-Executive Director
Mrs. Ijeoma Pearl Okoro	- Non-Executive Director
Mr. Samuel Onukwue	- Non-Executive Director
Mrs. Chioma Okigbo	- Non-Executive Director

The Directors do not have any interest in the issued share capital of the Company.

Directors' interests in contracts

For the purpose of section 303 of the Companies and Allied Matters Act, 2020, none of the Directors had any direct or indirect interest in contracts or proposed contracts with the Company during the year.

Results of the Year Ended December 31, 2025

The Directors are pleased to announce the trading results for the year ended 31 December 2025 together with the comparative figures for the previous year as follows:

	2025	2024
	N'000	N'000
Insurance contract revenue	2,928,303	2,837,251
Insurance service results	(1,155,538)	(1,048,596)
Profit before taxation	375,197	904,413
Income tax (expense)/income	(21,900)	32,140
Profit after taxation	353,297	936,553
Transfer to contingency reserve	94,811	187,311

Shareholding analysis

According to the register of members, the Company's shareholdings including shareholders who held more than 5% of the issued share capital of the Company as at 31 December 2025 are shown below:

	2025		2024	
	No. of Ordinary Shares	% Holding	o. of Ordinary Shares	% Holding
Chrome Oil Services Limited	4,298,514,210	54	4,298,514,210	54
Nimek Investments Limited	1,288,252,777	16	1,288,252,777	16
Total	5,586,766,987	70	5,586,766,987	70

RANGE	2025		2024	
	NO. OF HOLDERS	% OF HOLDERS	NO. OF HOLDERS	% OF HOLDERS
1 - 10000	9,861	51	9,861	51
10001 - 100000	7,753	40	7,754	40
100001 - 1000000	1,581	8	1,582	8
1000001 - 10000000	191	1	191	1
10000001 - 100000000	17	0.09	17	0.09
100000001 - 1000000000	3	0.02	3	0.02
1000000001 - 7942800000	2	0.01	2	0.01
TOTAL:	19,408	100	19,410	100

Property, plant and equipment

Information relating to the Company's property, plant and equipment is detailed in the Note 27 of the financial

Donations

There were no donations and sponsorships to charitable organizations during the year (2024: Nil).

Employee involvement and training

The Company is committed to keeping its employees fully informed, as much as possible on its performance and progress, and seeking their views whenever practicable on matters which practically affect them as employees. Management's professional and technical expertise are the Company's major assets and investment in their further development continues. The Company's expanding skill-base has been extended by a range of training programs for its employees and opportunities for career development within the Company have thus been enhanced.

Employment of physically challenged persons

The Company in recognition of its special obligation to employ physically challenged persons maintains a policy of giving fair consideration to applications for employment made by physically challenged persons with due regard to their abilities and aptitude. All employees are given equal opportunities to develop themselves. As at 31 December 2025, no physically challenged person was employed in the Company.

Health, safety at work and welfare of employees

Employees are made aware of the health and safety regulations that are in force within the premises of the Company. The Company provides subsidy to all employees for transportation, housing, lunch and medical expenses, medical insurance, etc.

Research and development

The Company in its determination to maintain its status as one of the best in the industry continues to encourage research and development of existing and new products aimed at consistently improving the Company's position.

Events after the reporting year

There were no significant events after reporting date which could have had a material effect on the financial statements for the year ended 31 December 2025 which have not been adequately provided for or disclosed in the financial statements.

Auditor

In compliance with Section 33(2) of the Securities and Exchange Commission's Code of Corporate Governance and Section 22(1) of National Insurance Commission 2022 guidelines on the tenure of External Auditors, Messrs. BDO Professional Services (Chartered Accountants) have shown willingness to continue in office as the auditor in accordance with Section 401(2) of the Companies and Allied Matters Act 2020. A resolution will be proposed at the Annual General Meeting to authorize the Directors to determine their remuneration.

Compliance with the code of best practices on corporate governance

The Directors confirm that they have reviewed the structure and activities of the Company in view of the Code of Best Practices on Corporate Governance for the Insurance Industry in Nigeria published in February 2009. The Directors confirm that the Company has substantially complied with the provisions of the Code of Best Practices on Corporate Governance with regards to matters stated therein concerning the Board of Directors, the Shareholders and the Audit Committee.

BY ORDER OF THE BOARD



Mrs. Chinenye Nwankwo

Company Secretary

FRC/2021/002/00000023454

Date: 24 March 2026

Statement of Directors' responsibilities

The Companies and Allied Matters Act 2020 and Banks and Insurance Act 2003, require the Directors to prepare financial statements which give a true and fair view of the financial position at the end of the financial year of the Company and of the operating results for the year then ended.

The responsibilities include ensuring that:

- Appropriate and adequate internal controls are established to safeguard the assets of the Company and to prevent and detect fraud and other irregularities;
- The Company keeps proper accounting records which disclose with reasonable accuracy the financial position of the Company and which ensures that the financial statements comply with the requirements of the Companies and Allied Matters Act, 2020, Insurance Act, 2003, Financial Reporting Council (Amendment) Act 2023 and the Operational Guidelines issued by NAICOM.
- The Company has used appropriate accounting policies, consistently applied and supported by reasonable and prudent judgments and estimates, and that all applicable accounting standards have been followed; and
- The financial statements are prepared on a going concern basis unless it is presumed that the Company will not continue in business.

The Directors accept responsibility for the preparation of the annual financial statements that give a true and fair view in accordance with International Financial Reporting Standards (IFRS) and in the manner required by the Companies and Allied Matters Act, 2020, the Financial Reporting Council of Nigeria (Amendment) Act, 2023, the Insurance Act, 2003 and relevant National Insurance Commission of Nigeria ("NAICOM") circulars.

The Directors further accept responsibility for maintaining adequate accounting records as required by the Companies and Allied Matters Act, 2020 and for such internal control as the directors determine is necessary to enable the preparation of financial statements that are free from material misstatement whether due to fraud or error.

The Directors have made assessment of the Company's ability to continue as a going concern and have no reason to believe that the Company will not remain a going concern in the year ahead.

SIGNED ON BEHALF OF THE BOARD OF DIRECTORS:



Mr. Ademola Abidogun
Managing Director
FRC/2016/CIIN/00000014549
Date: 24 March 2026



Mr. Pius Edobor
Executive Director
FRC/2013/ICAN/000000004638
Date: 24 March 2026

In line with the provisions of Section 405 of the Companies and Allied Matters Act, 2020; we have reviewed the audited financial statements of the Company for the year ended 31 December 2025 and based on our knowledge confirm as follows:

- a) the audited financial statements do not contain any untrue statement of material fact or omit to state a material fact, which would make the financial statements misleading;
- b) the audited financial statements and all other financial information included in the statements fairly present, in all material respects, the financial condition and results of operations of the Company as at and for the year ended 31 December 2025.
- c) the Company's internal controls have been designed to ensure that all material information relating to the Company is received and provided to the Auditor in the course of the audit.
- d) the Company's internal controls were evaluated within 90 days of the financial reporting date and are effective as at 31 December 2025.
- e) that we have disclosed to the Auditor that there are no significant deficiencies in the design or operation of the Company's internal controls which could adversely affect the Company's ability to record, process, summarise and report financial data, and have discussed with the Auditor any weaknesses in internal controls observed in the course of the Audit.
- f) that we have disclosed to the Auditor that there is no fraud involving management or other employees who have significant role in the Company's internal control; and
- g) there are no significant changes in internal controls or in other factors which could significantly affect internal controls subsequent to the date of this audit, including any corrective actions with regard to any observed deficiencies and material weaknesses.

SIGNED ON BEHALF OF THE BOARD OF DIRECTORS:



Mr. Ademola Abidogun
Managing Director
FRC/2016/CIIN/00000014549
Date: 24 March 2026



Mr. Pius Edobor
Executive Director
FRC/2013/ICAN/000000004638
Date: 24 March 2026

I, Ademola Abidogun, certify that

- a) I have reviewed the Report on the Effectiveness of Internal Control over Financial Reporting as of 31 December 2025 of Guinea Insurance Plc ("the Company");
- b) Based on my knowledge, this report does not contain any untrue statement of a material fact or omit to state a material fact necessary to make the statements made, in light of the circumstances under which such statements were made, not misleading with respect to the period covered by this report;
- c) Based on my knowledge, the financial statements, and other financial information included in this report, fairly present in all material respects the financial condition, results of operations and cash flows of the entity as of, and for, the periods presented in this report;
- d) The Company's other certifying officer and I:
 - are responsible for establishing and maintaining internal controls.
 - have designed such internal controls to ensure that material information relating to the Company is made known to such officers by others within the Company particularly during the period in which the periodic reports are being prepared;
 - have designed such internal control system, or caused such internal control system to be designed under our supervision, to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with IFRS Accounting Standards;
 - have evaluated the effectiveness of the Company's internal controls and procedures as of a date within 90 days prior to the report and presented in this report our conclusions about the effectiveness of the internal controls and procedures, as of the end of the period covered by this report based on such evaluation.
- e) The Company's other certifying officer and I have disclosed, based on our most recent evaluation of internal control system, to the Company's auditors and the audit committee:
 - That there are no significant deficiencies or material weaknesses in the design or operation of the internal control system which are reasonably likely to adversely affect the Company's ability to record, process, summarize and report financial information; and
 - That there is no fraud, whether or not material, that involves management or other employees who have a significant role in the Company's internal control system.
- f) The Company's other certifying officer and I have identified in the report whether or not there were significant changes in internal controls or other facts that could significantly affect internal controls subsequent to the date of our evaluation.



Mr. Ademola Abidogun

Managing Director

FRC/2016/CIIN/00000014549

Date: 24 March 2026

I, Pius Edobor, certify that

- a) I have reviewed the Report on the Effectiveness of Internal Control over Financial Reporting as of 31 December 2025 of Guinea Insurance Plc ("the Company");
- b) Based on my knowledge, this report does not contain any untrue statement of a material fact or omit to state a material fact necessary to make the statements made, in light of the circumstances under which such statements were made, not misleading with respect to the period covered by this report;
- c) Based on my knowledge, the financial statements, and other financial information included in this report, fairly present in all material respects the financial condition, results of operations and cash flows of the entity as of, and for, the periods presented in this report;
- d) The Company's other certifying officer and I:
 - are responsible for establishing and maintaining internal controls.
 - have designed such internal controls to ensure that material information relating to the Company is made known to such officers by others within the Company particularly during the period in which the periodic reports are being prepared;
 - have designed such internal control system, or caused such internal control system to be designed under our supervision, to provide reasonable assurance regarding the reliability of financial reporting and the preparation of financial statements for external purposes in accordance with IFRS Accounting Standards;
 - have evaluated the effectiveness of the Company's internal controls and procedures as of a date within 90 days prior to the report and presented in this report our conclusions about the effectiveness of the internal controls and procedures, as of the end of the period covered by this report based on such evaluation.
- e) The Company's other certifying officer and I have disclosed, based on our most recent evaluation of internal control system, to the Company's auditors and the audit committee:
 - That there are no significant deficiencies or material weaknesses in the design or operation of the internal control system which are reasonably likely to adversely affect the Company's ability to record, process, summarize and report financial information; and
 - That there is no fraud, whether or not material, that involves management or other employees who have a significant role in the Company's internal control system.
- f) The Company's other certifying officer and I have identified in the report whether or not there were significant changes in internal controls or other facts that could significantly affect internal controls subsequent to the date of our evaluation.



Mr. Pius Edobor

Finance Director

FRC/2013/ICAN/000000004638

Date: 24 March 2026

The management of Guinea Insurance Plc ("the Company") is responsible for establishing and maintaining adequate internal control over financial reporting as required by the Investment and Securities Act 2025 and the Financial Reporting Council of Nigeria (Amendment) Act, 2023.

The management of Guinea Insurance Plc assessed the effectiveness of the internal control over financial reporting of the Company as of 31 December 2025 using the criteria set forth in Internal Control Integrated Framework (2013 issued by the Committee of Sponsoring Organizations of the Treadway Commission ("the COSO Framework")) and in accordance with the SEC Guidance on Implementation of Internal Control over Financial Reporting.

As of 31 December 2025, the management of Guinea Insurance Plc did not identify any material weakness in its assessment of internal control over financial reporting.

As a result, management has concluded that, as of 31 December 2025, (the Company's) internal control over financial reporting was effective.

The Company's independent auditor, BDO Professional Services, who audited the financial statements included in this Annual Report, issued an unmodified conclusion on the effectiveness of the Company's internal control over financial reporting as of 31 December 2025, based on the limited assurance engagement performed by them. BDO Professional Services' limited assurance report is included in the Annual Report.

Changes in Internal Control over Financial Reporting

There were no changes in our internal control over financial reporting that occurred subsequent to the date of our evaluation of the effectiveness of internal control over financial reporting that significantly affected, or are reasonably likely to significantly affect, the Company's internal control over financial reporting.



Mr. Ademola Abidogun
Managing Director
FRC/2016/CIIN/000000014549
Date: 24 March 2026



Mr. Pius Edobor
Executive Director
FRC/2013/ICAN/000000004638
Date: 24 March 2026

This analysis is of the Company's performance as at 31 December 2025 should be read in conjunction with the statement of financial position and the notes.

Business Profile

Guinea Insurance Plc is a company incorporated under the Laws of the Federal Republic of Nigeria and is listed on the Nigerian Stock Exchange. It is licensed by the National Insurance Commission to carry out all forms on Non-Life Insurance business.

Objectives and Strategies Our objectives and strategies include:

Objectives

- 1 To be a one of the leading Insurance companies in Nigeria.
- 2 To strictly adhere to sound business principles that are paramount in the delivery of our brand promise, while also, protecting shareholders and other stakeholders from the ever-evolving macroeconomic and regulatory dynamics of the operating environment.
- 3 To ensure sound business practices, effective compliance with all statutory and regulatory requirements and the code of good corporate governance as stipulated in the 2018 Corporate Governance Code.

Strategies

- 1 Relationship Management
- 2 Customer Satisfaction
- 3 New Business Initiatives
- 4 Market Penetration & Expansion
- 5 Technology
- 6 Branding & Visibility

Operating Results (in thousands of Nigerian Naira)

	2025	2024 % CHANGE	
Insurance revenue	2,928,303	2,837,251	3.2
Insurance service result	1,155,538	1,048,596	10.2
Investment income and other Income	967,553	1,353,995	(28.5)
Other operating expenses	(1,708,273)	(1,486,038)	15.0
Profit before taxation	375,197	904,413	(58.5)
Profit for the year after tax	353,297	936,553	(62.3)

The Company increased its insurance revenue by 3.2% when compared with the prior year's result. The Company's insurance service result increased by 10.2%. Profit after tax of the company decreased by 62.3% when compared to prior year.

The company's investment and other income decreased by 28.5%.

Moving forward, the company has positioned itself for recapitalization in line with NAICOM requirement and intends to expand its operation base. Members of staff will continuously undergo internal and external training to keep them abreast of the changing environment and make them add value to the Company.

Report of the Statutory Audit Committee

To the members of Guinea Insurance Plc:

In accordance with the provision of Section 404 of the Companies and Allied Matters Act, 2020, the members of the Statutory Audit Committee of Guinea Insurance Plc hereby report as follows:

We have exercised our statutory functions under Section 404 of the Companies and Allied Matters Act, 2020 and we acknowledge the cooperation of management and staff in the conduct of these responsibilities.

We confirm that the accounting and reporting policies of the Company are in accordance with legal requirements and agreed ethical practices, and that the scope and planning of both the external and internal audits for the year ended 31 December 2025 were satisfactory and reinforce the Company's internal control systems.

We have deliberated with the external auditors, who have confirmed that necessary co-operation was received from management in the course of their statutory audit and we are satisfied with the management's response to the external auditors' recommendations on accounting and internal control matters and with the effectiveness of the Company's system of accounting and internal control.



Ayuba Quadri Yemi
Chairman, Statutory Audit Committee
FRCN/2015/ICAN/00000013470
Date: 24 March 2026

Members of the Audit Committee are:

Mr. Ayuba Quadri Yemi	Shareholder Representative - Chairman
Mr. Waheed Sonitare	Shareholder Representative
Chief Peter Mgbeahuru	Shareholder Representative
Mr. Samuel Onukwue	Non-Executive Director
Mrs. Chioma Okigbo	Non-Executive Director

**INDEPENDENT AUDITOR'S REPORT
TO THE SHAREHOLDERS OF GUINEA INSURANCE PLC
REPORT ON THE AUDIT OF THE FINANCIAL STATEMENTS**

Opinion

We have audited the accompanying financial statements of Guinea Insurance Plc which comprise, the statement of financial position as at 31 December 2025, the statement of profit or loss and other comprehensive income, statement of changes in equity, statement of cash flows for the year then ended; and notes to the financial statements, including a summary of material accounting policies and other explanatory notes.

In our opinion the financial statements give a true and fair view of the financial position of the Company as at 31 December 2025 and of its financial performance and cash flows for the year then ended in accordance with International Financial Reporting Standards and in compliance with the relevant provisions of the Financial Reporting Council of Nigeria (Amendment) Act, 2023, the Companies and Allied Matters Act, 2020, Insurance Act 2003 and the Prudential Guidelines issued by National Insurance Commission.

Basis for Opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the Company in accordance with the International Ethics Standards Board for Accountants' Code of Ethics for Professional Accountants together with the ethical requirements that are relevant to our audit of the financial statements in Nigeria, and we have fulfilled our other ethical responsibilities in accordance with these requirements and the International Ethics Standards Board Code. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key Audit Matters

Key audit matters are those matters that, in our professional judgement, were of most significance in our audit of the financial statements of the current year. These matters were addressed in the context of our audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters.

(i) Revenue recognition

In view of large number of policies underwritten by the Company, the gap between the Underwriting and Finance departments, and manual interference in the premium documentation, there is a risk that insurance revenue may not be completely accounted for in the financial statements and may not be recognised in line with IFRS 17, Insurance Contracts.

Response

- We have tested the design and implementation of key controls over revenue recognition, focusing on the flow of information from the underwriting systems to the financial reporting ledger. In addition, we performed substantive analytical procedures on insurance revenue.
- We reviewed the Premium Allocation Approach eligibility assessment.
- We performed other substantive procedures to confirm completeness of insurance revenue by: selecting some debit notes from hard copy files and traced to soft copy listing of premium and obtained serially generated debit notes and investigated missing and duplicated debit notes.
- We ensured that an appropriate and consistent revenue recognition policy is in place and in line with IFRS 17 - Insurance Contracts.

(ii) **Valuation of insurance contract liabilities**

Management has estimated the value of insurance contract liabilities in the Company's financial statements to be N1.34 billion as at year ended 31 December 2025 (2024: N1.42 billion) based on the actuarial valuation carried out by an external firm of Actuaries.

Insurance contract liabilities are sensitive to economic and non economic assumptions set by management which involves judgment.

There is a risk that assumptions do not reflect the economic environment. Due to the element of judgment in setting non economic assumptions and the sensitivity of the insurance contract balances to small changes in assumptions, there is an inherent risk of management override in this area.

Our response

We ascertained the following

- Evaluated and validated controls over insurance contract liabilities,
- Evaluated the independent external Actuary's competence, capability and objectivity,
- Assessed the methodologies used and the appropriateness of the key assumptions,
- Checked the accuracy and relevance of data provided to the Actuary by management,
- Reviewed the results based on the assumptions.

Other Information

The Directors are responsible for the other information. The other information comprises the information included in the Chairman's statement and Directors' report, but does not include the financial statements and the auditor's report thereon. Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained during the audit or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of the Directors for the Financial Statements

The Directors are responsible for the preparation and fair presentation of the financial statements in accordance with International Financial Reporting Standards issued by the International Accounting Standards Board, and in compliance with the relevant provisions of the Financial Reporting Council of Nigeria (Amendment) Act, 2023, the Companies and Allied Matters Act, 2020, Insurance Act, 2003, and the Prudential Guidelines issued by National Insurance Commission, and for such internal control as the directors determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

Those charged with governance are responsible for overseeing the Company's financial Reporting processes

In preparing the financial statements, the directors are responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the Company or to cease operations, or have no realistic alternative but to do so.



Auditor's responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue a report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with International Standards on Auditing will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with International Standards on Auditing, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the directors.
- Conclude on the appropriateness of directors' use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in the auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of the auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the Company's financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, and significant audit findings and any significant deficiencies in internal control that we identify during our audit.



Report on other legal and regulatory requirements

The Companies and Allied Matters Act, 2020 and Insurance Act 2003 requires that in carrying out our audit we consider and report to you on the following matters. We confirm that:

- i) we have obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purpose of our audit
- ii) in our opinion, proper books of account have been kept by the Company
- iii) the Company's statement of financial position, and its statement of profit or loss and other comprehensive income are in agreement with the books of account.
- iv) to the best of our knowledge, the Company complied with the requirements of the relevant circulars issued by National Insurance Commission (NAICOM) and the regulations of the Insurance Act , 2003 during the year.

Lagos, Nigeria
25 March 2026

A handwritten signature in blue ink, appearing to read 'Akibayo'.

Olugbemiga A. Akibayo, FCA
FRC/2013/PRO/ICAN/004/00000001076
For: BDO Professional Services
Chartered Accountants



GUINEA INSURANCE PLC
STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME
FOR THE YEAR ENDED 31 DECEMBER 2025

5

		OCTOBER TO DECEMBER 2025	OCTOBER TO DECEMBER 2024	JANUARY TO DECEMBER 2025	JANUARY TO DECEMBER 2024
	Notes			N'000	N'000
Insurance revenue	8	790,859	800,320	2,928,303	2,837,251
Insurance service expenses	9	(404,615)	(779,058)	(1,286,355)	(1,761,055)
Net expenses on reinsurance contracts	10	63,242	179,819	(486,410)	(27,600)
Insurance service result		449,486	201,081	1,155,538	1,048,596
Investment income	11	134,365	79,779	656,323	325,277
Unrealised foreign exchange (loss)/gain on fixed deposits	11.1	(46,544)	103,395	(51,422)	485,554
Net fair value gains on financial assets at FVTPL	12(a)	1,278	16,830	40,965	16,830
Fair value gains on investment properties	13	216,500	357,355	216,500	357,355
Impairment reversal/(loss) on financial assets at amortised cost	16	11,801	(14,722)	11,801	(14,722)
Net investment income		317,400	542,638	874,167	1,170,294
Insurance finance income from insurance contracts issued	13.1	-	60,736	-	1,372
Insurance finance income from reinsurance contracts held	13.1	-	18,875	-	1,211
Net Insurance finance expenses		-	41,861	-	2,583
Net Insurance and Investment result		766,887	785,579	2,029,705	2,221,473
Other operating income	14	14,642	157,612	53,765	168,979
Other operating expenses	15	(455,430)	(606,438)	(1,708,273)	(1,486,038)
Profit before taxation		326,098	336,753	375,197	904,413
Income tax (expense)/income	17	(10,456)	44,471	(21,900)	32,140
Profit for the year		315,642	381,224	353,297	936,553
Other comprehensive income		-	-	-	-
<i>Item that are or may be reclassified subsequently to profit or loss</i>		-	-	-	-
<i>Item that will not be reclassified to profit or loss</i>		-	-	-	-
Net fair value gain on financial assets at FVTOCI	12(b)	280,152	381,437	263,415	381,437
Revaluation surplus on land and building net of tax	39	4,491	405,320	4,491	405,320
Total other comprehensive income		284,643	786,757	267,906	786,757
Total comprehensive income for the year, net of tax		600,286	1,167,980	621,203	1,723,310
Contingency reserve	36	26,147	76,245	94,811	187,311
Earnings per share - Basic and Diluted (kobo)	19	3.97	4.8	4.45	11.79

The Statement of material accounting policies and the accompanying notes and other national disclosures form an integral part of these financial statements.

		JANUARY TO DECEMBER 2025	JANUARY TO DECEMBER 2024
Assets	Notes	N'000	N'000
Cash and cash equivalents	20	1,398,478	1,313,551
Financial assets:			
At fair value through profit or loss	21.1	139,547	96,001
At fair value through other comprehensive income	21.2	984,138	720,723
At amortised cost	21.4	1,903,452	1,837,574
Reinsurance contract assets	22	350,145	613,634
Trade receivables	23	2,751	56,218
Other receivables and prepayments	24	179,301	134,034
Investment properties	25	1,107,000	855,000
Intangible assets	26	28,952	40,867
Property, plant and equipment	27	987,189	951,747
Statutory deposit	28	333,654	333,654
Total assets		7,414,607	6,953,004
Liabilities			
Insurance contract liabilities	29	1,336,447	1,416,432
Other payables and accruals	30	130,393	196,506
Employee benefit obligations	31	740	5,882
Current tax payable	32	47,970	56,830
Deferred tax liabilities	33	57,093	56,594
Total liabilities		1,572,643	1,732,243
Equity			
Issued share capital	34	3,971,400	3,971,400
Share premium	35	337,545	337,545
Contingency reserve	36	1,010,468	915,657
Accumulated losses	37	(843,406)	(1,101,892)
Fair value through OCI	38	890,458	627,043
Asset revaluation reserve	39	475,499	471,008
Total equity		5,841,964	5,220,761
Total liabilities and equity		7,414,607	6,953,004

These financial statements were authorised for issued and approved by the Board of Directors and authorised for issue on 24 March 2026 and signed on its behalf by:

	Ademola Abidogun Managing Director/Chief Executive Officer FRC/2016/CIIN/00000014549
	Pius Edobor Executive Director, Finance FRC/2013/ICAN/000000004638

The Statement of material accounting policies and the accompanying notes and other national disclosures form an integral part of these financial statements.

GUINEA INSURANCE PLC
STATEMENT OF CHANGES IN EQUITY
FOR THE YEAR ENDED 31 DECEMBER 2025

7

	Issued share capital	Accumulated losses	Share premium	Contingency reserve	Fair value reserve	Asset revaluation reserve	Total
	N'000	N'000	N'000	N'000	N'000	N'000	N'000
Balance at 1 January 2025	3,971,400	(1,101,892)	337,545	915,657	627,043	471,008	5,220,761
Profit for the year	-	353,297	-	-	-	-	353,297
Revaluation surplus on land and building net of tax (Note 39)	-	-	-	-	-	4,491	4,491
Fair value gain - FVTOCI	-	-	-	-	263,415	-	263,415
Transfer to contingency reserve	-	(94,811)	-	94,811	-	-	-
Balance at 31 December 2025	3,971,400	(843,406)	337,545	1,010,468	890,458	475,499	5,841,964

	Issued share capital	Accumulated losses	Share premium	Contingency reserve	Fair Value Reserve	Asset revaluation reserve	Total
	N'000	N'000	N'000	N'000	N'000	N'000	N'000
Balance at 1 January 2024	3,971,400	(1,851,134)	337,545	728,346	245,606	65,688	3,497,451
Profit for the year	-	936,553	-	-	-	-	936,553
Revaluation surplus on land and building net of tax (Note 39)	-	-	-	-	-	405,320	405,320
Fair value gain - FVTOCI	-	-	-	-	381,437	-	381,437
Transfer to contingency reserve	-	(187,311)	-	187,311	-	-	-
Balance at 31 December 2024	3,971,400	(1,101,892)	337,545	915,657	627,043	471,008	5,220,761

The Statement of material accounting policies and the accompanying notes and other national disclosures form an integral part of these financial statements.

GUINEA INSURANCE PLC
STATEMENT OF CASH FLOWS
FOR THE YEAR ENDED 31 DECEMBER 2025

8

	Notes	2025 N'000	2024 N'000
Operating activities:			
Reinsurance premium paid	22.3	(865,238)	(907,900)
Amounts received under reinsurance contracts held	22.3	369,358	425,539
Commission received	22.3	272,958	207,458
Gross claims paid	29.4	(758,786)	(747,735)
Insurance acquisition cash flows paid	29.4	(836,878)	(572,239)
Premium received	29.4	3,213,846	2,750,616
Premium deposit	30	-	176
Payments to employees	45.1	(793,292)	(491,063)
Other operating cash payments	45.2	(936,285)	(587,709)
Other income received	45.4	21,265	138,137
Tax paid	32.1	(30,760)	(47,542)
Net cash (outflow)/inflow from operating activities		(343,812)	167,738
Investing activities:			
Purchase of financial assets at fair value through profit or loss	21.1	(2,581)	-
Purchase of treasury bills	21.4	(2,337,271)	(1,677,881)
Liquidation of treasury bills	21.4	2,686,663	1,745,367
Purchase of property and equipment	27	(183,519)	(96,071)
Proceed from sale of property and equipment	45.5	32,500	-
Investment income received	45.3	232,947	148,463
Net cash inflow from investing activities		428,739	119,878
Net increase in cash and cash equivalents		84,927	287,616
Effect of exchange rate changes on cash and cash equivalent			
Cash and cash equivalents at 1 January	20	1,313,551	1,025,935
Cash and cash equivalents at 31 December	20	1,398,478	1,313,551

The statement of material accounting policies and the accompanying notes and other national disclosures form an integral part of these financial statements.

Company information and Statement of accounting policies

1. Reporting entity

Guinea Insurance Plc (“the Company”) was incorporated on 3 December 1958 as a Limited Liability Company and became a Public Liability Company on 17 January 1991. The overseas shareholders divested their 40% shareholding to existing Nigerian shareholders in 1988 thereby making the Company 100% Nigerian owned. The Company was established for the purpose of carrying on insurance business. The Company operated as an insurer for all classes of insurance business in Nigeria i.e. Life and pension, General business and Special risks till 2007, when it stopped the Life business and started underwriting all classes of General insurance business only. The Company's head office is located at Guinea Insurance House, 33 Ikorodu Road, Jibowu, Lagos

The financial statements for the year ended 31 December 2025 were authorised for issue by the Board of Directors on 24 March 2026.

(a) Statement of compliance with International Financial Reporting Standards

The financial statements have been prepared in accordance and comply with the International Financial Reporting Standards (IFRSs), the Companies and Allied Matters Act, 2020 and the Financial Reporting Council of Nigeria (Amendment) Act, 2023, the Insurance Act, 2003 and relevant National Insurance Commission of Nigeria Circulars.

The financial statements include the statements of financial position, statements of profit or loss and other comprehensive income, the statements of cash flows, the statement of changes in equity, summary of significant accounting policies and other explanatory information.

(b) Functional and presentation currency

The financial statements are presented in Nigerian Naira, which is the Company's functional currency. Except where expressly indicated, financial information presented in Naira has been rounded to the nearest thousand.

(c) Basis of measurement

The financial statements have been prepared on a historical cost basis except for the following:

1. Financial assets at fair value through profit or loss are measured at fair value;
2. Financial assets at fair value through other comprehensive income are measured at fair value;
3. Investment properties are measured at fair value;
4. Insurance and reinsurance contracts are measured with fulfilment contractual cash flows and the contractual service margin;
5. Defined benefit liabilities are measured at fair value.
6. Land is measured at revalued amount

(d) Use of Critical Accounting Estimates, Judgments and Assumptions

The preparation of financial statements in conformity with IFRS requires the use of certain critical accounting estimates. It also requires management to exercise its judgment in the process of applying the Company's accounting policies. The estimates and associated assumptions are based on historical experience and various other factors that are believed to be reasonable under the circumstances, the results of which form the basis of making judgments about carrying values of assets and liabilities that are not readily apparent from other sources. Actual results may differ from these estimates under different assumptions and conditions. Changes in assumptions may have a significant impact on the financial statements in the period the assumptions changed. Management believes that the underlying assumptions are appropriate and that the Company's financial statements therefore present the financial positions and results fairly. The areas involving a higher degree of judgment or complexity, or areas where assumptions and estimates are significant to the financial statements are disclosed in Note 1.1.

(e) Going Concern

These accounts have been prepared under the going concern assumption as Management does not have the intention to liquidate or to materially curtail the scale of its operations.

The following are the material accounting policies adopted by the Company in the preparation of these financial statements. These accounting policies have been consistently applied for all years presented.

(f) Reporting period

The financial statements have been prepared for a 12 month period ended 31 December 2025.

2. New standards, interpretations and amendments

(i) New standards, interpretations and amendments adopted from 1 January 2025

The following amendments are effective for the period beginning 1 January 2025:

- Lack of exchangeability (Amendment to IAS 21 The Effects of Changes in Foreign Exchange Rates)

On 15 August 2023, the IASB issued amendments to IAS 21 titled Lack of Exchangeability. These amendments introduce guidance on assessing when a currency is exchangeable into another currency and when it is not. Where a currency is determined to be not exchangeable, an entity is required to estimate the spot exchange rate for use in applying IAS 21.

These amendments did not have an impact on the Company's financial statements

(ii) **New standards, interpretations and amendments not yet effective**

There are a number of standards, amendments to standards, and interpretations which have been issued by the IASB that are effective in future accounting periods that the Company has decided not to adopt early.

The following amendments are effective for the annual reporting period beginning 1 January 2026:

- Amendments to the Classification and Measurement of Financial Instruments (Amendments to IFRS 9 Financial Instruments and IFRS 7 Financial Instruments: Disclosures)

- Clarification that financial liabilities are derecognised on the settlement date, with an accounting policy choice (subject to specific conditions) to derecognise liabilities settled via electronic payment systems before the settlement date.
- Additional guidance on assessing contractual cash flows for financial assets with environmental, social and governance (ESG) or similar features.
- Clarifications on non-recourse features and the characteristics of contractually linked instruments.
- New disclosure requirements for financial instruments with contingent features and enhanced disclosures for equity instruments measured at fair value through other comprehensive income (OCI).

The amendments are effective for annual periods beginning on or after 1 January 2026, with early application permitted for the classification of financial assets and related disclosures. The Company does not expect these amendments to have a material impact on its financial statements.

- Contracts Referencing Nature-dependent Electricity - Amendments to IFRS 9 and IFRS 7

Issued in December 2024, these amendments apply to contracts referencing nature-dependent electricity and:

- Clarify the application of the 'own-use' requirements.
- Modify designation requirements for hedged items in cash flow hedging relationships.
- Introduce new disclosure requirements to explain the impact of these contracts on financial performance and cash flows.

The amendments are effective for annual periods beginning on or after 1 January 2026 (early application permitted). Own-use amendments apply retrospectively; hedge accounting amendments apply prospectively to new hedging relationships. IFRS 7 disclosures must be implemented with IFRS 9 amendments.

The Company does not expect these amendments to have a material effect on its financial statements.

- Annual Improvements to IFRS Accounting Standards - Volume 11 Issued in July 2024, these nine narrow-scope amendments provide clarifications and corrections to improve consistency in:

- IFRS 1 *First-time Adoption of IFRS*
- IFRS 7 *Financial Instruments: Disclosures* (including implementation guidance)
- IFRS 9 *Financial Instruments*
- IFRS 10 *Consolidated Financial Statements*
- IAS 7 *Statement of Cash Flows*

The amendments are effective for annual periods beginning on or after 1 January 2026 (early application permitted).

The Company does not expect these amendments to have a material effect on its financial statements.

The following standards and amendments are effective for the annual reporting period beginning 1 January 2027:

▪ **IFRS 18 Presentation and Disclosure in Financial Statements**

IFRS 18 Presentation and Disclosure in Financial Statements, which was issued by the IASB in April 2024 supersedes IAS 1 and will result in major consequential amendments to IFRS Accounting Standards including IAS 8 Basis of Preparation of Financial Statements (renamed from Accounting Policies, Changes in Accounting Estimates and Errors). Even though IFRS 18 will not have any effect on the recognition and measurement of items in the consolidated financial statements, it is expected to have a significant effect on the presentation and disclosure of certain items. These changes include categorisation and sub-totals in the statement of profit or loss, aggregation/disaggregation and labelling of information, and disclosure of management-defined performance measures

These new requirements are expected to impact all reporting entities. IFRS 18 and all consequential amendments are effective for reporting periods beginning on or after 1 January 2027, with earlier application permitted. Retrospective application is required.

The Company is currently assessing the effect of these new accounting standards and amendments

▪ **IFRS 19 - Subsidiaries without Public Accountability: Disclosures**

IFRS 19 was issued in May 2024, IFRS 19 introduces a reduced-disclosure framework for subsidiaries that:

- Do not have public accountability; and
- Are included in consolidated financial statements of a parent applying full IFRS.

Under IFRS 19, eligible subsidiaries apply recognition, measurement, and presentation requirements of IFRS Standards but follow simplified disclosure requirements set out in IFRS 19. IFRS 19 will become effective for reporting periods beginning on or after 1 January 2027, with early application permitted.

The Company is assessing the potential adoption of IFRS 19 for qualifying subsidiaries. No decision has been finalized, and the impact on future financial statements is under review.

▪ **Disclosures about Uncertainties in Financial Statements - Illustrative Examples**

On 28 November 2025, the IASB issued *Disclosures about Uncertainties in the Financial Statements - Illustrative Examples*, which provide guidance on how entities can apply IFRS Accounting Standards when reporting the effects of uncertainties in their financial statements. These examples accompany existing IFRS Accounting Standards and do not have an effective date. A near-final staff draft was published in July 2025. The amendments do not have effective date.

The Company considered these illustrative examples in preparing its financial statements and concluded that no additional disclosures or changes in presentation were necessary.

3. Material Accounting Policies

Material accounting policies are defined as those that reflect significant judgments and uncertainties, and potentially give rise to different results under different assumptions and conditions.

Except for the changes explained in Note 2 above, the Company consistently applied the following accounting policies to the periods presented in the financial statements.

I IFRS 17 - Insurance contracts

IFRS 17, Insurance contract establishes the principles for the recognition, measurement, presentation and disclosure of insurance contracts within the scope of the standard. The standard was issued by IASB on 1 June 2020 and is effective from 1 January 2023.

(a) Insurance contract liabilities

The measurement of Company's liability resulting from the insurance contracts that it issues requires a significant use of estimates and judgements. The Company estimates the liability for future insurance contract obligations, taking into account the expected cash flows for fulfilling these contracts. This involves making assumptions about future claim payments, premium income, and discount rates.

(b) Reinsurance contracts

The Company assesses the impact of the reinsurance contracts that it hold on its financial statements, including estimating the expected recoveries from reinsurers. This involves evaluating the terms of reinsurance agreements, the creditworthiness of reinsurers, and the effect on the measurement of re-insurance contract assets and liabilities.

(c) Fulfillment Cash Flows

In estimating its liabilities and assets as it relates to insurance and reinsurance contracts, the Company makes significant assumptions relating to the future cash flows that will arise from fulfilling insurance contracts, considering variables such as claims experience, lapses, and policyholder behavior. These estimates require judgment and are influenced by historical data and actuarial projections.

The Company incorporates, in an unbiased way, all reasonable and supportable information that is available without undue cost or effort at the reporting date. This information includes both internal and external historical data about claims and other experience, updated to reflect current expectations of future events. The estimates of future cash flows reflect the Company's view of current conditions at the reporting date, using market variables consistent with observable market prices, where applicable.

(d) Risk adjustment

In the measurement of risk adjustment, the Company makes use of significant judgements including estimations, actuarial projections and historical data in determining a reasonable compensation for bearing non-financial risks as it relates to insurance contracts that its issues. It also employs similar assumptions and methodologies in estimating the expected reinsurance portion or recoverable as it relates to risk adjustment.

(e) Discount rates

The determination of appropriate discount rates to value future cash flows is critical in the application of IFRS 17. The Company considers factors such as the time value of money, credit risks and illiquidity premiums in selecting its discount rates. Significant judgement is used by the Company to ensure that the selected rates reflect the characteristics of the cashflows and the risks associated with insurance contracts.

(f) Key types of insurance contracts issued, and reinsurance contracts held

Non-Life Business - the Company issues non-life insurance to individuals and commercial businesses. Non life insurance products offered include Motor, Property, Marine & Aviation, Bond, Engineering, Oil and Gas, fire, Agriculture and General Accident. These products offer financial protection to policyholder's assets and indemnification of other parties against financial loss prompted by the action of the policyholder.

The Company accounts for these contracts applying the principles underlying International Financial Reporting Standard (IFRS17) Insurance Contracts and other relevant International Account Standards(IAS).

The Company also holds appropriate types of reinsurance contracts to mitigate risk exposure, including: proportional and non-proportional facultative arrangements.

(g) Definition and classification

Products sold by the Company are classified as insurance contracts when the Company accepts significant insurance risk from a policyholder by agreeing to compensate the policyholder if a specified uncertain future event adversely affects the policyholder's finances.

The Company's accounting and financial assessment are made on a cohort basis and on a contract-by-contract basis at the contract issue date. In making this assessment, the Company considers all its substantive rights and obligations, whether they arise from contract, law or regulation.

The Company determines whether a contract contains significant insurance risk by assessing if an insured event could cause the Company to pay to the policyholder additional amounts that are significant in any single scenario with commercial substance even if the insured event is extremely unlikely or the expected present value of the contingent cash flows is a small proportion of the expected present value of the remaining cash flows from the insurance contract. The Company does not issue any pure life insurance contracts or any life insurance contracts with direct participating features or any contract of insurance with investment component. the Company issues only non-life(General Business) insurance to individuals and commercial businesses.

(h) Separating components from insurance and reinsurance contracts

The Company assesses its insurance and reinsurance products to determine whether they contain components which must be accounted for under another applicable IFRS rather than IFRS 17 (distinct non- insurance components). After separating any distinct components, the Company applies IFRS 17 to all remaining components of the (host) insurance contract on a cohort basis right from initial recognition and subsequent recognition until expiration of insurance service on the contract.

Currently, the Company's products do not include distinct non insurance components such as investment components, goods and services, embedded derivatives that require separation.

(i) Level of aggregation

Under IFRS 17 the Company determines a granular grouping of individual contracts for the purpose of measuring insurance contract liability and in the recognition of profitability. The Company identifies portfolios by aggregating insurance contracts that are subject to similar risks and managed together.

In grouping insurance contracts into portfolios, the Company considers the similarity of risks rather than the specific labelling of product lines. The Company has determined that all contracts within each product line, as defined for management purposes, have similar risks. Therefore, when contracts are managed together, they represent a portfolio of contracts. The Company's insurance contracts portfolios are disaggregated into annual cohorts or cohorts of periods that are not more than one year apart. Limiting groups to contracts issued within one year or less apart improves the transparency of profitability to be reported in the Company's set of financial statements.

Each portfolio is subdivided into groups of contracts to which the recognition and measurement requirements of IFRS 17 are applied.

At initial recognition, the Company segregates contracts based on when they were issued. A cohort contains all contracts that were issued within a 12-month period. Each cohort is then further disaggregated into three groups of contracts:

- Contracts that are onerous on initial recognition
- Contracts that, on initial recognition, have no significant possibility of becoming onerous subsequently
- Any remaining contracts

For short term contracts accounted for applying the Premium Allocation Approach (PAA), the Company determines that its contracts are not onerous on initial recognition, unless there are facts and circumstances indicating otherwise. As IFRS 17 does not define what "facts/circumstances" entail; the following are considered on their impact on expected cashflows and resulting profitability:

- Significant changes in external conditions including economic or regulatory changes.
- Changes to the organization or processes
- Changes in underwriting and pricing strategies
- Trends in experience and expected variability in cashflows

All the Company's short-term contracts currently held have been assessed as having no possibility of becoming onerous. In subsequent periods, non-onerous contracts are re-assessed based on the likelihood of prevailing facts and circumstances leading to significant possibility of becoming onerous.

(j) Reinsurance contracts held

Reinsurance contracts held (loss-occurring reinsurance contracts) are for one year or less. For Risk-attaching reinsurance contracts, the Company reasonably expects that the resulting measurement of the assets for remaining coverage would not differ materially from the result of applying the accounting policies that are the same as the underlying the measurement model for the insurance contracts they protect. Reinsurance contracts are assessed for aggregation on an individual contract basis and are assessed separately from insurance contracts. The smallest unit of account is a reinsurance contract, even where this contract covers more than one type of insurance product. However, there are cases where a reinsurance contract covers separate and identifiable product lines which are only included in the same legal document for administrative convenience. These contracts have been separated into its different components.

(k) Recognition

The Company recognizes groups of insurance contracts issued from the date when the first payment from a policyholder in the Company becomes due. As the Company adheres to the statutory “no premium no cover”, the date premium is received from the policyholder will always be earlier or on the same date as the coverage period. This premium receipt date would then be used to separate the groups of insurance contracts into yearly cohorts. The contract groupings shall not be reassessed until they are derecognized.

(l) Contract boundaries

The Company includes in the measurement of a group of insurance contracts all the future cash flows within the boundary of each contract in the Company. Cash flows are within the boundary of an insurance contract if they arise from substantive rights and obligations that exist during the reporting period in which the Company can compel the policyholder to pay the premiums, or in which The Company has a substantive obligation to provide the policyholder with insurance contract services. A substantive obligation to provide insurance contract services ends when:

- The Company has the practical ability to reassess the risks of the particular policyholder and, as a result, can set a price or level of benefits that fully reflects those risks or;
- Both of the following criteria are satisfied:
 - The Company has the practical ability to reassess the risks of the portfolio of insurance contracts that contain the contract and, as a result, can set a price or level of benefits that fully reflects the
 - The pricing of the premiums up to the date when the risks are reassessed does not take into account the risks that relate to periods after the reassessment date.

A liability or asset relating to expected premiums or claims outside the boundary of the insurance contract are not recognized. Such amounts relate to future insurance contracts.

(m) Measurement of insurance contracts issued

i Initial Measurement

The Company measures a group of contracts on initial recognition as the sum of the expected fulfilment cash flows within the contract boundary and the contractual service margin representing the unearned profit in the contracts relating to services that will be provided under the contracts

ii Fulfilment cash flows within contract boundary

The fulfilment cash flows are the current unbiased and probability-weighted estimates of the present value of the future cash flows, including a risk adjustment for non-financial risk. In arriving at a probability-weighted mean, The Company considers a range of scenarios to establish a full range of possible outcomes incorporating all reasonable and supportable information available without undue cost or effort about the amount, timing and uncertainty of expected future cash flows. The estimates of future cash flows reflect conditions existing at the measurement date including assumptions at that date about the future. The Company estimates expected future cash flows for a group of contracts at a portfolio level and allocates them to The Company's in that portfolio in a systematic and rational way.

When estimating future cash flows, The Company includes all cash flows within the contract boundary including:

- Premiums and any additional cash flows resulting from those premiums.
- Reported claims that have not yet been paid, claims incurred but not yet reported, future claims expected to arise from the policy and potential cash inflows from recoveries on future claims covered by existing insurance contracts.

- Policy administration and maintenance costs including recurring commissions expected to be paid to intermediaries for policy administration services only (recurring commissions that are insurance acquisition cash flows are treated as such in the estimate of future cash flows)
- Transaction-based taxes
- An allocation of fixed and variable overheads directly attributable to the fulfilment of insurance contracts including overhead costs such as accounting, human resources, information technology and support, building depreciation, rent, and maintenance and utilities
- Costs incurred for performing investment activities that enhance insurance coverage benefits for the policyholder.
- Costs incurred for providing investment-related service and investment-return service to policyholders.
- Other costs specifically chargeable to the policyholder under the terms of the contract

The Company does not provide investment-return services in respect of contracts that it issues, nor does it perform investment activities for the benefit of policyholders.

The Company incorporates, in an unbiased way, all reasonable and supportable information available without undue cost or effort about the amount, timing and uncertainty of those future cash flows.

The Company estimates the probabilities and amounts of future payments under existing contracts based on information obtained, including:

- Information about claims already reported by policyholders
- Other information about the known or estimated characteristics of the insurance contracts
- Historical data about The Company's own experience, supplemented, when necessary, with data from other sources. Historical data is adjusted to reflect current conditions.
- Current pricing information, when available

The measurement of fulfilment cash flows includes insurance acquisition cash flows which are allocated as a portion of premium to profit or loss (through insurance revenue) over the period of the contract in a systematic and rational way on the basis of the passage of time. The Company does not elect to accrete interest on insurance acquisition cash flows to be allocated to profit or loss.

iii Discount Rate

In line with IFRS17(59) (B), IAS8(36) The Company adjusts the measurement of the liability for incurred claims (LIC) for the impact of the time value of money and other financial risk of the claims not settled within 12 months, time value of money is measured separately from expected future cash flows with changes in financial risks recognized in profit or loss at the end of each reporting period and the Company has elected an accounting policy to present the time value of money separately in profit or loss and other comprehensive income. The Company measures the time value of money using discount rates that reflect the liquidity characteristics of the insurance contracts and the characteristics of the cash flows, consistent with observable current market prices. They exclude the effect of factors that influence such observable market prices but do not affect the future cash flows of the insurance contracts (e.g., credit risk).

For all insurance contracts, the Company agrees to adopt the Premium allocation approach in which determined interest rate (locked in rate) is used to calculate the present value of future cash flows at the date of initial recognition of the group of insurance contracts in line with IFRS17 Para B72b. The locked -in interest rates is used for accreting interest rate accruing on the value of the contracts at initial recognition and loss components changes as a result of changes in Fulfilment Cash flow (FCF) that relate to future years service .

To derive the current discount rates which are judged to be used for the contracts cash flows, the Company uses the 'bottom-up approach' while adopting the cost of capital methodology to estimate discount rates starting from a risk-free rate of assets (high quality bonds) with similar characteristics as the underlining liability cash flows plus an illiquidity premium where applicable. Risk free rates are determined by reference to the yields of highly liquid FGN Bonds.

iv Risk adjustment (RA) for non-financial risk

The risk adjustment measures the compensation The Company would require for bearing the uncertainty about the amount and timing of cash flows arising from insurance contracts, other than those relating to financial risk. The Company chooses a technique which aligns with the principles of risk adjustment and disclose significant judgement which has been made in determining the risk adjustment and the equivalent confidence level utilized. The Company has service level agreements that enhances prompt claim settlement except when circumstances warranted such delay. Amount recoverable from risk adjustment is recognized in the financial statement. For the purposes of the financials, a cost of capital approach was adopted in determining the risk adjustment margin. A confidence level of the 75th percentile was adopted to be 10.85%.

v Contractual Service Margin (CSM)

As Section 4.4.3 of the NAICOM guidance is about the Contractual service margin (CSM) and explaining how locked in rates work. The Company considers the calculation of Contractual service margin (CSM) as irrelevant in its case , as it adopts the premium allocation approach (PAA) approach for non-life insurers. Under PAA there is no CSM (said otherwise, the CSM is zero under PAA), The CSM is a component of the overall carrying amount of a group of insurance contracts representing unearned profit that the Company will recognize as it provides insurance contract services over the coverage period.

vi Methodology: Premium Allocation Approach(PAA)

At initial recognition, the Company measures the carrying amount of the liability for remaining coverage (LRC) as the premiums received on initial recognition minus any insurance acquisition cash flows allocated to the Company of contracts at that date, and adjusted for any amount arising from derecognition of any assets or liabilities previously recognized for cash flows related to the Company(including assets for insurance acquisition cashflows). The Company has not chosen to expense insurance acquisition cash flows when they are incurred. Subsequently , the carrying amount of the LRC is increased by any premiums received and the amortization of insurance acquisition cash flows recognized as expenses and decreased by amount recognized as insurance revenue for services provided and any additional insurance acquisition cash flows allocated after initial recognition. On initial recognition the Company expects that the time between providing part of the services and the related premium due date is not more than a year. The portion that is above one year based on volume of premium is 0.74%, 0.02% and 2.99% for 2021, 2022 and 2023 respectively, while the portion above 365 days based on policy count is 0.76%, 0.06% and 0.66% for 2021, 2022 and 2023 respectively, and the Company considers these to be immaterial as to significantly impact the result of the premium allocation approach.

If at any time during the coverage period, facts and circumstances indicate that a group of contracts is onerous, then the company recognizes a loss in profit or loss and increase the liability for remaining coverage to the extent that the current estimates of the fulfilment cashflows that relate to remaining coverage exceed the carrying amount of the liability for remaining coverage. The fulfilment cash flows are discounted (at current rates) if the liability for incurred claims is also discounted. The Company recognizes the liability for incurred claims of a group of insurance contracts at the amount of the fulfilment cash flows relating to incurred claims. The future cash flows are discounted (at current rates) unless they are expected to be paid in one year or less from the date the claims are incurred.

If a loss -recovery component is created for group of reinsurance contracts measured under the PAA, then The Company adjusts the carrying amount of the assets for remaining coverage instead of adjusting the profit element.

For contracts that are measured under PAA, the assumption is that there are no onerous contracts at initial recognition, unless facts and circumstances indicate otherwise. If the measurement of the LIC results in a loss-making group, this does not translate to the LRC being onerous. In this case, The Company will be assessed as to whether its LRC will be similar to the incurred experience and hence considered to be onerous. For example, actions taken to improve profitability on the motor portfolio which is loss-making may indicate that the LRC will have a different loss experience.

vii Subsequent Measurement of Insurance contracts under PAA

In estimating the total future fulfilment cash flows, The Company distinguishes between those relating to already incurred claims and those relating to future service. At the end of each reporting period, the carrying amount of The Company of insurance contracts will reflect a current estimate of the liability for remaining coverage (LRC) as at that date and a current estimate of the liability for incurred claims (LIC).

The LRC represents The Company's obligation to investigate and pay valid claims under existing contracts for insured events that have not yet occurred, amounts that relate to other insurance contract services not yet provided (i.e. provision of investment-return and investment-related services) and investment components and other amounts not related to insurance contract services that have not yet been transferred to the LIC.

The Company measures the liability for remaining coverage at each subsequent reporting date as follows: Sum of:

- (a) Previous carrying amount,
- (b) Premium received in the period
- (c) Amortization of insurance acquisition cashflows

Less:

- (d) Capitalized insurance acquisition cashflows
- (e) insurance revenue recognized and
- (f) investment paid or transferred to the liability for incurred claims

The LIC includes the Company's liability to pay valid claims for insured events that have already incurred, other incurred insurance expenses arising from past coverage service and the liability for claims incurred but not yet reported. It also includes the Company's liability to pay amounts the Company is obliged to pay the policyholder under the contract. This includes repayment of investment components, when a contract is derecognized. The current estimate of LIC comprises the fulfilment cash flows related to current and past service allocated to the Company at the reporting date.

viii PAA Eligibility Calculation and Materiality

The Company determine that its businesses satisfies the criteria for adopting the use of the simplified measurement model(PAA) as follows:

- (a) That such simplification would produce a measurement of the liability for remaining coverage that would not differ materially from that produced applying the General Model; or
- (b) That the coverage period of each contract in the Company is one year or less.

In determining the level of materiality, the Company has taken a view that if the total volume of premiums in a cohort of contracts with coverage period of more than one year is less than 10%, then this would be deemed as immaterial to the justification of using the implied measurement model PAA statistically insignificant in line with paragraph 5.2.2 of Guidance note on IFRS17 issued by NAICOM .

The Company has opted to test the PAA eligibility for the entire group(population) of contracts instead of just a sample within the population of insurance contracts, using a quantitative assessment approach involving application of simplified mathematical approach

ix Insurance acquisition cash flows

In line with IFRS17(59)(a), 97(c), the Company chooses to amortize acquisition cashflows over the contracts' coverage period, provided that the coverage period of each contract in the Company at initial recognition is no more than one year. The Company includes insurance acquisition cash flows in the measurement of a group of insurance contracts if they are directly attributable to either the individual contracts in a group, the Company itself or the portfolio of insurance contracts to which the Company belongs.

The Company applies judgement in determining the inputs used in the methodology to systematically and rationally allocate insurance acquisition cash flows to groups of insurance contracts. This includes judgements about whether insurance contracts are expected to arise from renewals of existing insurance contracts and, where applicable, the amount to be allocated to groups including future renewals and the volume of expected renewals from new contracts issued in the period.

x Changes in fulfilment cash flows

At the end of each reporting period, The Company updates the fulfilment cash flows for both LIC and LRC to reflect the current estimates of the amounts, timing and uncertainty of future cash flows, as well as discount rates and other financial variable.

The Company has an accounting policy choice which calculates changes in fulfilment cash flows at the end of a reporting period for changes in non-financial assumptions, changes in discount rates and financial assumptions. The Company first calculates the changes in discount rates and financial assumptions on the fulfilment cash flows (as expected at the beginning of the period) and then calculate changes on those cash flows from the change in non-financial assumptions.

x Changes in fulfilment cash flows

Experience adjustments are the difference between:

- The expected cash flow estimates at the beginning of the period and the actual cash flows for premiums received in the period (and any related cash flows paid such as insurance acquisition cash flows and insurance premium taxes)
- The expected cash flow estimates at the beginning of the period and the actual incurred amounts of insurance service expenses in the period (excluding insurance acquisition expenses).

Experience adjustments relating to current or past service are recognized in profit or loss. For incurred claims (including incurred but not reported) and other incurred insurance service expenses, experience adjustments always relate to current or past service. They are included in profit or loss as part of insurance service expenses.

(n) Measurement of Reinsurance Contracts

i Recognition

Proportional reinsurance contracts held will be first recognized on the later of the beginning of the coverage period of the reinsurance contract or the date that the first underlying insurance contract in the treaty is initially recognized.

For example, if we enter a surplus fire reinsurance contract on 1 January 2024 and the first fire insurance policy in the treaty is written in February 2024, then the date of recognition of the surplus reinsurance contract will be February 2024. Though the contract agreement is in place in January, cashflows on the contract don't start until February.

Non-Proportionate reinsurance coverage will be recognized at the beginning of the coverage period of the contract.

ii Reinsurance contracts held measured under the PAA.

The Company applies the same accounting policies to measure its group of reinsurance contracts, adapted where necessary to reflect features that differ from those of insurance contracts. Reinsurance contracts held are generally assets, rather than liabilities. They are separate from underlying insurance contracts; however, they correspond with them. To ensure that the impact of reinsurance is smoothened out over the period of the underlying contracts, The Company has a policy to recognizing reinsurance contract held over the coverage period as each underlying contract is recognized. If a loss-recovery component is created for a group of reinsurance contracts measured under the PAA, then The Company adjusts the carrying amount of asset for remaining coverage instead of adjusting CSM(irrelevant under PAA). All reinsurance contracts with contract boundaries not exceeding one year are automatically considered to meet PAA eligibility. Most of The Company's Surplus reinsurance contracts are immediately eligible for PAA as they are written on a clean-cut basis. At the end of the period, the reinsurer withdraws from the contract and the reinsurance held portfolio (including outstanding recoveries and ceded portion of unexpired premiums) is transferred to a new reinsurer.

A smaller number of surplus reinsurance contracts and all Facultative contracts are written on an underwriting year basis. This basis extends the contract boundary beyond one year as coverage of contracts ceded to the treaty may continue even after the underwriting year has ended.

The Company incurs incremental administrative costs that are insurance services expenses, namely cashflows that relate directly to the fulfilment of the underlying insurance contracts issued and are to be included in the measurement of the reinsurance contracts assets. The Company treats the actual incurred cost as insurance service expense. Where the reinsurance contracts held covers a group of onerous underlying insurance contracts, The Company adjusts the carrying amount of the asset for remaining coverage and recognizes a gain when, in the same period, it reports a loss on initial recognition of an onerous group of underlying insurance contracts or on addition of onerous underlying insurance contracts to a group. The recognition of this gain results in the recognition for the loss recovery component of the asset for the remaining coverage of a group of reinsurance contracts held.

iii Methods of Presenting Reinsurance Premiums and Recoveries from Reinsurance Contracts Held

For reinsurance contracts held, inline with IFRS17.86, the company has accounting policy of presenting income or expenses from reinsurance contracts held (other than insurance finance income or expenses) as separate amounts: the amounts recovered from the reinsurer and allocation of the premiums paid. Both the recovered amount and the allocated premiums paid together should give a net amount equal to the equivalent single amount option. The allocation of premium paid is not used as a reduction to premium revenue for the reinsurance contracts held.

iv Accounting for Fixed Commissions by the Reinsurer

The Company treats ceding commission that are not contingent on claims as a reduction in premiums. Reinsurance Contracts may included fixed ceding commission payable to the Company.

(o) Presentation

The Company has presented separately in the Company's statement of financial position the carrying amount of portfolios of insurance contracts that are assets and those that are liabilities, and the portfolios of reinsurance contracts held that are assets and those that are liabilities.

The Company disaggregates the amounts recognized in the consolidated statement of profit or loss and other comprehensive income into an insurance service result sub-total that comprises insurance revenue and insurance service expenses and, separately from the insurance service result, the 'net insurance finance income or expenses' sub-total. The Company has voluntarily included the net insurance finance income or expenses line in another sub-total: net insurance and investment result, which also includes the income from all the assets backing the Company's insurance liabilities.

The Company includes any assets for insurance acquisition cash flows recognized before the corresponding groups of insurance contracts are recognized in the carrying amount of the related

(p) Insurance Revenue

The Company measures the insurance revenue for each period as the expected premium receipts for providing services in the period, The Company allocates the expected premium receipts to each period on the following bases: - certain property contracts: the expected timing of incurred insurance service expenses and other contracts : the passage of time. As the Company provides insurance services under a group of insurance contracts issued, it reduces its LRC and recognizes insurance revenue, which is measured at the amount of consideration, the Company expects to be entitled to in exchange for those services.

For groups of insurance contracts measured under the General Model, insurance revenue consists of the sum of the changes in the LRC due to:

- The insurance service expenses incurred in the period measured at the amounts expected at the beginning of the period, excluding:
 - Amounts allocated to the loss component.
 - Amounts that relate to transaction-based taxes collected on behalf of third parties.
- Insurance acquisition expenses.
- Amounts relating to risk adjustment for non-financial risk.
- The change in the risk adjustment for non-financial risk, excluding:
 - Changes that relate to future service that adjust the CSM.
- Amounts allocated to the loss component.
- The amount of CSM for the services provided in the period.

- Other amounts, such as experience adjustments for premium receipts that relate to current or past service, if any Insurance revenue also includes the portion of premiums that relate to recovering those insurance acquisition cash flows included in the insurance service expenses in each period. Both amounts are measured in a systematic way on the basis of the passage of time.

When applying the PAA, the Company recognizes insurance revenue for the period based on the passage of time by allocating expected premium receipts including premium experience adjustments to each At the end of each reporting period, the Company considers whether there was a change in facts and circumstances indicating a need to change, on a prospective basis, the premium receipt allocation due to changes in the expected pattern of claim occurrence.

(q) Insurance Service Expenses

Insurance service expenses arising from insurance contracts issued are recognized in the profit or loss generally as they are incurred. The company's insurance expenses comprises:

- Incurred claims and other insurance service expenses Changes in the LIC related to claims and expenses incurred in the period excluding repayment of investment components.(if any)
- Changes in the LIC related to claims and expenses incurred in prior periods (related to past service)
- Other directly attributable insurance service expenses incurred in the period.
- Amortization of insurance acquisition cash flows, which is recognized at the same amount in both insurance service expenses and insurance contract revenue.
- Loss component of onerous groups of contracts initially recognized in the period.
- Changes in the LRC related to future service that do not adjust the CSM, because they are changes in the loss components of onerous groups of contracts.

(r) Income or expenses from reinsurance contracts held.

The Company presents income or expenses from a group of reinsurance contracts held and reinsurance finance income or expenses in profit or loss for the period separately. Income or expenses from reinsurance contracts held are split into the following two amounts:

- Amount recovered from reinsurers.
- An allocation of the premiums paid.

The Company presents cash flows that are contingent on claims as part of the amount recovered from reinsurers. Ceding commissions that are not contingent on claims of the underlying contracts are presented as a deduction in the premiums to be paid to the reinsurer which is then allocated to profit or loss.

The Company establishes a loss recovery component of the asset for the remaining coverage for a group of reinsurance contracts held. This depicts the recovery of losses recognized on the initial recognition of an onerous group of underlying insurance contracts or on addition of onerous underlying insurance contracts to a group. The loss recovery component adjusts the CSM of the group of reinsurance contracts held. The loss recovery component is then adjusted to reflect:

- Changes in the fulfilment cash flows of the underlying insurance contracts that relate to future service and do not adjust the CSM of the respective groups to which the underlying insurance contracts belong to.
- Reversals of loss recovery component to the extent those reversals are not changes in the fulfilment cash flows of the group of reinsurance contracts held.
- Allocations of the loss recovery component against the amounts recovered from reinsurers reported in line with the associated reinsured incurred claims or expenses.

(s) Insurance finance income and expenses

Insurance finance income or expenses present the effect of the time value of money and the change in the time value of money, together with the effect of financial risk and changes in financial risk of a group of insurance contracts and a group of reinsurance contracts held.

(t) The use of OCI presentation for insurance finance income and expenses

The Company has an accounting policy choice to present all the period's insurance finance income or expenses in profit or loss or to split the amount between profit or loss and other comprehensive income (OCI). When considering the choice of presentation of insurance finance income or expenses, the Company examines the assets held for that portfolio and how they are accounted for.

Currently the company present all the period's insurance finance income or expenses in the profit or loss. The company does not write participating contracts and does need to reassess its accounting policy choice in respect of such policies.

(y) PAA Eligibility Test

According to Paragraph 5.2 of the NAICOM guideline, An Insurer may adopt the simplified measurement model if one of the following two criteria is satisfied:

- a. Whether such simplification would produce a measurement of the liability for remaining coverage that would not differ materially from that produced applying the GMM; or
- b. The coverage period of each contract in the group is one year or less.

With respect to the coverage period in “a” above IFRS 17 does not provide guidance as to what is meant by “differ materially”. Therefore, the Insurer would need to define its own assessment criteria for materiality. However, an Insurer may consider applying 5% - 10% threshold as a rule of thumb to assess whether the outcome of the measurement using the PAA and GMM differs materially.

The Insurer may opt to test the PAA eligibility for the entire group of contracts or may test a selection of contracts within the group of insurance contracts.

	2025	2024
Number of insurance contracts issued	3,024	3,639
Average tenor of the insurance contracts (days)	158	259
Number of insurance contracts with tenor > 366 days	50	456
% of insurance contracts > 366 days	32	71
Gross Premium	3,160,379,009	2,935,385,274
Gross premium of insurance contracts > 366 days	40,348,883	99,595,053
% of gross premium with tenor > 366 days	1.28%	3.39%

Conclusion

The portion that is above one year based on volume of premium is 2.99%, 3.39% and 1.28% for 2023, 2024 and 2025 respectively, while the portion above 365 days based on policy count is 0.66%, 0.13% and 0.02% for 2023, 2024 and 2025 respectively, and the Company considers these to be immaterial as to significantly impact the result of the premium allocation approach. As such, the company has adopted the PAA for all its insurance contracts

II Financial instruments

(a) Recognition and initial measurement

All financial assets and financial liabilities are initially recognized when the Company becomes a party to the contractual provisions of the instrument.

A financial asset (unless it is a trade receivable without a significant financing component) or financial liability is initially measured at fair value plus, except for an item not at fair value through profit or loss (FVTPL) or transaction costs that are directly attributable to its acquisition or issue. A trade receivable without a significant financing component is initially measured at the transaction price. The Company has the following financial assets and financial liabilities as at year end:

- Cash and cash equivalents;
- Other receivable;
- Statutory deposits
- Financial assets at amortised cost;
- Financial assets at Fair Value Through Profit or Loss;
- Financial assets at Fair Value Through Other Comprehensive Income;
- Other liabilities

(b) Classification and subsequent measurement

(1) Financial assets

On initial recognition, a financial asset is classified as measured at: amortized cost.

Financial assets are not reclassified subsequent to their initial recognition unless the Company changes its business model for managing financial assets, in which case all affected financial assets are reclassified on the first day of the first reporting period following the change in the business model.

A financial asset is measured at amortized cost if it meets both of the following conditions and is not designated as at fair value through profit or loss

- the asset is held within a business model whose objective is to hold assets to collect contractual cash flows; and
- the contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest (SPPI).

Business model assessment

The Company makes an assessment of the objective of a business model in which an asset is held at a portfolio level because this best reflects the way the business is managed and information is provided to management. The information considered includes:

- the stated policies and objectives for the portfolio and the operation of those policies in practice. In particular, whether management's strategy focuses on earning contractual interest revenue, maintaining a particular interest rate profile, matching the duration of the financial assets to the duration of the liabilities that are funding those assets or realizing cash flows through the sale of the assets;
- how the performance of the portfolio is evaluated and reported to the Company's management;
- the risks that affect the performance of the business model (and the financial assets held within that business model) and its strategy for how those risks are managed;
- how managers of the business are compensated (e.g. whether compensation is based on the fair value of the assets managed or the contractual cash flows collected)

Assessment of whether contractual cash flows are SPPI

For the purposes of this assessment, 'principal' is defined as the fair value of the financial asset on initial recognition. 'Interest' is defined as consideration for the time value of money and for the credit risk associated with the principal amount outstanding during a particular period of time and for other basic lending risks and costs (e.g. liquidity risk and administrative costs), as well as profit margin.

In assessing whether the contractual cash flows are SPPI, the Company considers the contractual terms of the instrument. This includes assessing whether the financial asset contains a contractual term that could change the timing or amount of contractual cash flows such that it would not meet this condition. In making the assessment, the Company considers:

- contingent events that would change the amount and timing of cash flows;
- prepayment and extension terms;
- terms that limit the Company's claim to cash flows from specified assets and
- terms that limit the Company's claim to cash flows from specified assets (e.g. non-recourse features)

Subsequent measurement and gains and losses

Financial assets at amortized costs

These assets are subsequently measured at amortized cost using the effective interest method. The amortized cost is reduced by impairment losses. Interest income, foreign exchange gains and losses (if any) and impairment are recognized in profit or loss. Any gain or loss on derecognition is recognized in profit or loss

(c) Financial liabilities - Classification, subsequent measurement and gains and losses

Financial liabilities are classified as measured at amortized cost only. Financial liabilities are subsequently measured at amortised cost using the effective interest method. Interest expense and foreign exchange gains and losses are recognised in profit or loss. Any gain or loss on derecognition is also recognised in profit or loss.

(d) Derecognition

Financial assets

The Company derecognises a financial asset when the contractual rights to the cash flows from the financial asset expire, or it transfers the rights to receive the contractual cash flows in a transaction in which substantially all of the risks and rewards of ownership of the financial asset are transferred or in which the Company neither transfers nor retains substantially all of the risks and rewards of ownership and it does not retain control of the financial asset. Any interest in transferred financial assets that is created or retained by the Company is recognized as a separate asset or liability.

On derecognition of financial asset, the difference between the carrying amount of the asset (or the carrying amount allocated to the portion of the asset transferred), and the sum of (i) the consideration received (including any new asset obtained less any new liability assumed) and (ii) any cumulative gain or loss that had been recognized in other comprehensive income is recognized in statement of profit or loss.

Financial liabilities

The Company derecognizes a financial liability when its contractual obligations are discharged, cancelled or expire. The Company also derecognizes a financial liability when its terms are modified and the cash flows of the modified liability are substantially different, in which case a new financial liability based on the modified terms is recognized at fair value.

On derecognition of a financial liability, the difference between the carrying amount extinguished and the consideration paid (including any non-cash assets transferred or liabilities assumed) is recognized in profit or loss.

(e) Offsetting

Financial assets and financial liabilities are offset and the net amount presented in the statement of financial position when, and only when, the Company currently has a legally enforceable right to set off the amounts and it intends either to settle them on a net basis or to realize the asset and settle the liability simultaneously.

(f) Determination of fair value

A number of the Company's accounting policies and disclosures require the determination of fair value, for both financial and non-financial assets and liabilities. Fair values have been determined for measurement and/or disclosure purposes based on the following methods. Where applicable, further information about the assumptions made in determining fair values is disclosed in the notes specific to that asset or liability. When measuring the fair value of an asset or a liability, the Company uses observable data as far as possible. Fair values are categorised into different levels in a fair value hierarchy based on the inputs used in the valuation techniques as follows:

- Level 1: quoted prices (unadjusted) in active markets for identical assets or liabilities
- Level 2: inputs other than quoted prices included in level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices).
- Level 3: inputs for the assets and liabilities that are not based on observable market data (i.e. unobservable inputs).

The Company recognises transfers between levels of fair value hierarchy at the end of the reporting period during which the change has occurred.

(g) Impairment of financial assets

(i) Recognition of ECL

The Company recognises loss allowances for expected credit loss (ECL) on financial assets that are debt instruments and are not measured at FVTPL.

The Company measures loss allowances at an amount equal to lifetime ECLs, except for the following, which are measured at 12-month ECLs:

- debt securities that are determined to have low credit risk at the reporting date; and
- other debt securities and bank balances for which credit risk (i.e. the risk of default occurring over the expected life of the financial instrument) has not increased significantly since initial recognition

When determining whether the credit risk of a financial asset has increased significantly since initial recognition and when estimating ECLs, the Company considers reasonable and supportable information that is relevant and available without undue cost or effort. This includes both quantitative and qualitative information and analysis, based on the Company's informed credit assessment, that includes forward-looking information.

The Company assumes that the credit risk on a financial asset has increased significantly if it is more than 30 days past due.

The Company considers a financial asset to be in default when:

- the debtor is unlikely to pay its credit obligations to the Company in full, without recourse by the Company to actions such as realising security (if any is held); or
- the financial asset is more than 90 days past due.

(ii) Measurement of ECL

ECLs are a probability-weighted estimate of credit losses. Credit losses are measured as the present value of all cash shortfalls (i.e. the difference between the cash flows due to the entity in accordance with the contract and the cash flows that the Company expects to receive). ECLs are discounted at the effective interest rate of the financial asset.

(iii) Credit-impaired financial assets

At each reporting date, the Company assesses whether financial assets carried at amortized cost are credit-impaired. A financial asset is 'credit-impaired' when one or more events that have a detrimental impact on the estimated future cash flows of the financial asset have occurred.

Evidence that a financial asset is credit-impaired includes the following observable data:

- Significant financial difficulty of the borrower or issuer;
- A breach of contract such as a default or past due event;
- The restructuring of a loan or advance by the Company on terms that the Company would not consider otherwise;
- It is becoming probable that the borrower will enter bankruptcy or other financial reorganisation; or
- The disappearance of an active market for a security because of financial difficulties.

(iv) Presentation of allowance for ECL in the statement of financial position

Loss allowances for financial assets measured at amortized cost are deducted from the gross carrying amount of the assets

(v) Write-off

The gross carrying amount of a financial asset is written off when the Company has no reasonable expectations of recovering a financial asset in its entirety or a portion thereof. This is generally the case when the Company determines that the borrower does not have assets or sources of income that could generate sufficient cash flows to repay the amounts subject to the write-off. This assessment is carried out on the borrower's collective asset.

Recoveries of amounts previously written off are included in 'other income' in the statement of profit or loss and other comprehensive income. Financial assets that are written off could still be subject to enforcement activities in order to comply with the Company's procedures for recovery of amounts due.

(h) Trade receivables

Trade receivables comprise premium receivables. Premium receivables are those for which credit notes issued by brokers are within 30 days, in conformity with the "NO PREMIUM NO COVER" policy.

Individual reinsurance receivables that are identified as impaired are assessed for specific impairment. All other reinsurance receivables are assessed for collective impairment. The model for collective impairment is based on incurred loss model. The probability of default and the age of the debts are also taken into account in arriving at the impairment amount. When an insurance receivable is considered uncollectible, it is written off against the impairment allowance account. Trade receivables are classified as loans and receivables and subsequently measured at amortised cost.

(i) Cash and cash equivalents

Cash and cash equivalents include cash in hand, bank and call deposits and other short-term highly liquid investments with original maturities of three months or less, which are subject to insignificant risk of changes in their fair value and used by the Company to manage its short term commitments. Cash and cash equivalents are measured at amortised cost in the statement of financial position.

(j) Other receivables and prepayments

Other receivables balances include dividend receivable and accrued investment income. The Company has an internal system of assessing the credit quality of other receivables through established policies and approval systems. The Company constantly monitors its exposure to their receivables via periodic review.

Prepayment are essentially prepaid insurance and prepaid employee benefits. Other receivables and prepayments are carried at cost less accumulated amortisation and impairment losses.

III Investment properties

Investment properties are properties held to earn rentals or for capital appreciation (including property under construction for such purposes) or for both purposes, but not for sale in the ordinary course of business.

Recognition and measurement

Investment properties are measured initially at cost plus any directly attributable expenses.

Subsequent to initial recognition, investment properties are measured at fair value, which reflects market conditions at the reporting date. Gains or losses arising from changes in the fair value of investment properties are included in profit or loss in the period in which they arise. Fair values of the investment properties are evaluated and assessed annually by an accredited external valuer.

De-recognition

An investment property is derecognized upon disposal or when the investment property is permanently withdrawn from use and no future economic benefits are expected from the disposal. Any gain or loss arising on de-recognition of the property (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is recognized in profit or loss in the period of de-recognition. The carrying amount of the asset represents the fair value of the asset as at the date of the latest valuation before disposal.

Transfers

Transfers are made to or from investment property only when there is a change in use. For a transfer from investment property to owner occupied property, the deemed cost for subsequent accounting is the fair value at the date of change. If owner-occupied property becomes an investment property, the Company accounts for such property in accordance with the policy stated under property and equipment up to the date of change. Subsequently, the property is re-measured to fair value and reclassified as investment property.

IV Property and equipment

Recognition and measurement

All items of property and equipment are initially recognized at cost and subsequently measured at cost less accumulated depreciation and impairment losses, except land & building which are measured at the revalued amount being the fair value as at reporting date. Property and equipment comprise motor vehicles, office furniture, office equipment and computer equipment. Assessment for impairments of properties, plant and equipment are carried out annually.

Subsequent costs

The cost of replacing part of an item of property or equipment is recognized in the carrying amount of the item if it is probable that the future economic benefits embodied within the part will flow to the Company and its cost can be reliably measured. The costs of the day-to-day servicing of property and equipment are recognized in profit or loss when incurred. Subsequent costs on replacement parts on an item of property are recognized in the carrying amount of the replaced or the renewed component.

Depreciation

Depreciation is recognized so as to write off the cost or valuation of assets less their residual values over their useful lives, using the straight-line method. The estimated useful lives, residual values and depreciation method are reviewed at the end of each reporting period, with the effect of any changes in estimate accounted for on a prospective basis. Depreciation begins when the asset is first put into use

The estimated useful lives for the current and comparative periods are as follows:

Land	Not depreciated
Building	20 years
Computer	3 years
Office furniture and fittings	5 years
Motor vehicles	4 years

De-recognition and impairment of non financial asset

An item of property, plant and equipment is derecognized upon disposal or when no future economic benefits are expected to arise from the continued use of the asset. Any gain or loss arising on the disposal or retirement of an item of property and equipment is determined as the difference between the sales proceeds and the carrying amount of the asset and is recognized in the statement of profit or loss of the year that the asset is de-recognized.

The carrying amounts of the Company's non-financial assets are considered to be impaired when there exists any indication that the asset's recoverable amount is less than the carrying amount. Assessment for impairment should be carried out annually. The recoverable amount is the higher of an asset's fair value less costs to sell and value in use. For the purposes of assessing impairment, assets are carried at the lowest levels for which there are separately identifiable cash flows (cash generating units). Impairment losses are recognized in profit or loss.

Impairment losses recognized in prior periods are assessed at each reporting date for any indications that the loss has decreased or no longer exists. An impairment loss is reversed if there has been a change in the estimates used to determine the recoverable amount. An impairment loss is reversed only to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation or amortization, if no impairment loss had been recognized. Reversals of impairment losses are recognized in profit or loss.

V Intangible assets

Acquired computer software

Acquired computer software licenses are capitalized on the basis of the costs incurred to acquire and bring to use the specific software. Computer software is stated at cost less amortization and impairment losses. Subsequent expenditure is capitalized only when it increases the future economic benefits embodied in the specific asset to which it relates. Costs associated with maintaining computer software programmes are recognized as an expense as incurred.

Amortization

Computer software costs, whether developed or acquired, are **amortized for a period of 5 years using the straight line method.**

"Intangible assets are tested for impairment annually. Amortisation methods, useful lives and residual values are reviewed at each reporting date and adjusted if appropriate

An intangible asset shall be derecognized by the Company on disposal; or when no future economic benefit are expected from its use or disposal. Any gain or loss arising on de-recognition of the assets (calculated as the difference between the net disposal proceeds and the carrying amount of the asset) is included in profit or loss in the period the asset is recognised.

VI Foreign currency transactions

The Nigerian Naira is the Company's functional and reporting currency. Foreign currency transactions are translated at the foreign exchange rate ruling at the date of the transaction. Monetary assets and liabilities denominated in foreign currencies are translated using the exchange rate ruling at the reporting date.

Non-monetary items that are measured based on historical cost in a foreign currency are translated at the exchange rate at the date of the transaction. Foreign currency differences are generally recognised in profit or loss.

VII Hypothecation of assets

The Company structured its assets to meet the requirements of the Insurance Act 2003 such that policyholders' assets and funds are not co-mingled with shareholders'.

In particular, investment properties, investment securities (equities and fixed income securities) and insurance funds hypothecated to policyholders are distinguished from those owned by the shareholders. The assets hypothecated are shown in the financial statements, note 7.

VIII Deferred income

Deferred income comprises deferred rental income and deferred acquisition income. Deferred rental income relates to rents received in advance. These are amortized and transferred to the statement of profit or loss over the periods that they relate.

Deferred acquisition income relates to commissions received on ceded reinsurance businesses but not yet earned as at reporting date. Deferred acquisition income are amortized systematically over the life of the contracts at each reporting date.

IX Provisions and Contingent liabilities

Provisions are recognized when the Company has a present obligation (legal or constructive) as a result of a past event, it is probable that the Company will be required to settle the obligation, and a reliable estimate can be made of the amount of the obligation.

The amount recognized as a provision is the best estimate of the consideration required to settle the present obligation at the end of the reporting period, taking into account the risks and uncertainties surrounding the obligation. When a provision is measured using the cash flows estimated to settle the present obligation, its carrying amount is the present value of those cash flows (when the effect of the time value of money is material). Contingent liabilities are possible obligations of the Company, the existence of which will only be confirmed by the occurrence or non-occurrence of uncertain future events not wholly within the control of the Company and present obligations of the Company where it is probable that an outflow of economic benefits will be required to settle the obligations or where the amount of the obligation cannot be measured reliably, which are not recognised in the Company's statement of financial position but are disclosed in the notes to the financial statements.

X Employee benefits liabilities

(i) Short-term benefits

Staff benefits such as wages, salaries, paid annual leave allowance, and non-monetary benefits are recognized as employee benefit expenses. The expenses are accrued when the associated services are rendered by the employees of the Company.

Short-term employee benefit obligations are measured on an undiscounted basis and are expensed as the related service is provided.

(ii) Defined contribution plans

The Company operates a defined contribution plan in accordance with the provisions of the Pension Reform Act 2014. The Company and employees contribute 10% and 8% respectively (2024: 10% and 8%) each of the qualifying monthly emoluments in line with the Pension Reform Act.

(i) The Company's monthly contribution to the plan is recognized as an expense in profit or loss as part of staff cost. The Company remits contributions to privately administered pension fund administration on a monthly basis. The Company has no further payment obligation once the contributions have been remitted. Prepaid contributions are recognized as an asset to the extent that a cash refund or reduction in the future payments is available.

(ii) Payments to defined contribution retirement benefit plans are recognised as an expense when employees have rendered service entitling them to the contributions.

(iii) Defined benefit plan

A defined benefit plan is a plan that defines an amount of benefit that an employee will receive on retirement, usually dependent on one or more factors, such as age, years of service and compensation. The liability recognized in the statement of financial position in respect of defined benefit plans is the present value of the defined benefit obligation at the reporting date less the fair value of plan assets, together with adjustments for unrecognized actuarial gains or losses and past service costs.

The defined benefit obligation is calculated annually by independent actuaries using the projected unit credit method.

The Company has a Gratuity Scheme for its employees. The scheme is non-contributory and employees qualify for benefits after five years' service. Provision for gratuity is made when it is determined that there is a shortfall in the assets funding liabilities.

The scheme was closed to new entrants in April 2011 and future service after this date does not attract gratuity benefits. Re-measurements, comprising actuarial gains and losses, the effect of the asset ceiling, excluding net interest (not applicable to the Company) and the return on plan assets (excluding net interest), are recognized immediately in the statement of financial position with a corresponding debit or credit to retained earnings through OCI in the period in which they occur. Re-measurements are not reclassified to profit or loss in subsequent periods.

Past service costs are recognised in profit or loss on the earlier of:

- The date of the plan amendment or curtailment, and
- The date that the Company recognises restructuring-related costs

Net interest is calculated by applying the discount rate to the net defined benefit liability or asset. The Company recognises the following changes in the net defined benefit obligation under 'cost of sales', 'administration expenses' in statement of profit or loss and other comprehensive income (by function):

Service costs comprising current service costs, past-service costs, gains and losses on curtailments and non-routine settlements, net interest expense or income.

The defined benefit plan was discontinued and fully settled during the year.

XI Trade and other payables

Trade payables

Trade payables are recognized when due. These include amounts due to agents, reinsurers, co-assurers and insurance contract holders. Trade payables are recognized initially at fair value and subsequently measured at amortized cost using the effective interest method. The fair value of a non-interest bearing liability is its discounted repayment amount. If the due date is less than one year, discounting is not applied and the impact will not be material.

Accruals and other payables

Other payables are recognized initially at fair value and subsequently measured at amortized cost using the effective interest rate method. The fair value of a non-interest bearing liability is its discounted repayment amount. If the due date is less than one year, discounting is not applied and the impact will not be material.

XII Income and deferred tax

(i) Current tax

Income tax comprises current and deferred tax. Income tax expense is recognised in profit or loss except to the extent that it relates to items recognised directly in equity, in which case it is recognised in equity.

Current tax is the expected tax payable on taxable income for the year. Taxable profit differs from profit as reported in the Company's statement of profit or loss because of items of income or expense that are taxable or deductible in other years and items that are never taxable or deductible. The Company's liability for current tax is calculated using tax rates that have been enacted by the end of the reporting period.

(ii) Deferred tax

Deferred tax is recognized on temporary differences between the carrying amounts of assets and liabilities in the Company's financial statements and the corresponding tax bases used in the computation of taxable profit.

Deferred tax liabilities are generally recognized for all taxable temporary differences. Deferred tax assets are recognized on all deductible temporary differences to the extent that it is probable that taxable profits will be available against which those deductible temporary differences can be utilized. Such deferred tax assets and liabilities are not recognized if the temporary difference arises from goodwill (arising in a business combination) or from the initial recognition (other than in a business combination) of other assets and liabilities in a transaction that affects neither the taxable profit nor the accounting profit.

The carrying amount of deferred tax assets is reviewed at the end of each reporting period and reduced to the extent that it is no longer probable that sufficient taxable profits will be available to allow all or part of the asset to be recovered.

Deferred tax liabilities and assets are measured at the tax rates that are expected to apply in the period in which the liability is settled or the asset realized, based on tax rates (and tax laws) that have been enacted or substantively enacted by the end of the reporting period. The current taxes include: Company Income Tax at 30% of taxable profit; Education Tax at 3% of assessable profit; Capital Gain Tax at 10% of chargeable gains; and Information Technology Development levy at 1% of accounting profit. The measurement of deferred tax liabilities and assets reflects the tax consequences that would follow from the manner in which the Company expects, at the end of the reporting period, to recover or settle the carrying amount of its assets and liabilities.

Significant management judgment is required to determine the amount of deferred tax assets that can be recognized, based upon the likely timing and the level of future taxable profits together with future tax planning strategies.

XIII Statutory deposits

Statutory deposits are cash balances held with the Central Bank of Nigeria (CBN) in compliance with the Insurance Act, CAP 117, LFN 2004 for the general insurance companies. The deposits are only available as a last resort to the Company if it goes into liquidation and are measured at amortised cost.

XIV Capital and reserves

(i) Share capital

The equity instruments issued by the Company are classified as equity in accordance with the substance of the contractual arrangements and the definitions of an equity instrument.

Equity instruments issued by the Company are recognized as the proceeds are received, net of direct issue costs.

(ii) Share premium

This represents the excess amount paid by shareholders on the nominal value of the shares. This amount is distributable to the shareholders at their discretion. The share premium is classified as an equity instrument in the statement of financial position.

(iii) Contingency reserve

The Company maintains contingency reserves for the general business in accordance with the provisions of S.21 (1) of the Insurance Act 2003. In compliance with this regulatory requirement, the Company maintains contingency reserve at the rate equal to the higher of 3% of gross premium or 20% of the total profit after taxation until the reserve reaches the greater of minimum paid up capital or 50% of net premium.

(iv) Accumulated losses

The reserve comprises undistributed losses from previous years and the current year. Retained losses is classified as part of equity in the statement of financial position.

XV Deposit for shares

Deposit for shares represents financial instruments that do not meet the definition of financial liabilities and are classified as financial liabilities. The instruments neither put the Company under any obligation to deliver cash or other financial assets to another party nor require the exchange of its financial assets or financial liabilities with another party under potentially unfavourable conditions but are to be settled by delivering a fixed number of Company's equity instruments to the other party.

XVI Leases

The Company assesses at contract inception whether a contract is, or contains, a lease. That is, if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration.

Company as a lessee

The Company applies a single recognition and measurement approach for all leases, except for short-term leases and leases of low-value assets. The Company recognises lease liabilities to make lease payments and right-of-use assets representing the right to use the underlying assets.

(i) Right-of-use assets

The Company recognises right-of-use assets at the commencement date of the lease (i.e., the date the underlying asset is available for use). Right-of-use assets are measured at cost, less any accumulated depreciation and impairment losses, and adjusted for any remeasurement of lease liabilities. The cost of right-of-use assets includes the amount of lease liabilities recognised, initial direct costs incurred, and lease payments made at or before the commencement date less any lease incentives received. Right-of-use assets are depreciated on a straight-line basis over the shorter of the lease term and the estimated useful lives of the assets.

(ii) Lease liabilities

At the commencement date of the lease, the Company recognises lease liabilities measured at the present value of lease payments to be made over the lease term. The lease payments include fixed payments (including in-substance fixed payments) less any lease incentives receivable, variable lease payments that depend on an index or a rate, and amounts expected to be paid under residual value guarantees. The lease payments also include the exercise price of a purchase option reasonably certain to be exercised by the Company and payments of penalties for terminating the lease, if the lease term reflects the Company exercising the option to terminate.

In calculating the present value of lease payments, the Group uses its incremental borrowing rate at the lease commencement date because the interest rate implicit in the lease is not readily determinable. After the commencement date, the amount of lease liabilities is increased to reflect the accretion of interest and reduced for the lease payments made. In addition, the carrying amount of lease liabilities is remeasured if there is a modification, a change in the lease term, a change in the lease payments (e.g., changes to future payments resulting from a change in an index or rate used to determine such lease payments) or a change in the assessment of an option to purchase the underlying asset.

XVII Segment reporting

Operating segments are identified and reported in consonance with the internal reporting policy of the Company that are regularly reviewed by the Chief Operating decision maker who allocates resources to the segment and assesses their performance thereof.

The Company's reportable segments, for management purpose, are organized into business units based on the products and services offered as follows:

- Motor;
- Marine and Aviation;
- General accident;
- Fire.

This is the measure used by the Company's Chief Executive for the purposes of resource allocation and assessment of segment performance.

XVIII Investment Income

Investment income consists of dividends, interest and rental income on investment properties, interest income on loans and receivables, realized gains and losses as well as unrealized gains and losses on fair value assets. Rental income is recognized on an accrual basis.

(i) Interest income

Interest income is recognized in profit or loss as it accrues and is calculated by using the effective interest rate method. Fees and commissions that are an integral part of the effective yield of the financial asset or liability are recognized as an adjustment to the effective interest rate of the instrument. The effective interest rate is the rate that exactly discounts estimated future cash payments or receipts through the expected life of the financial instrument or, when appropriate, a shorter period to the net carrying amount of the financial asset or financial liability.

(ii) Dividend income

Dividend income from investments is recognized when the shareholders' rights to receive payment have been established.

(iii) Realized gains and losses and unrealized gains and losses

Realized gains and losses on investments include gains and losses on financial assets and investment properties. Gains and losses on the sale of investments are calculated as the difference between net sales proceeds and the original or amortized cost and are recorded on occurrence of the sale transaction. Unrealized gains or losses represent the difference between the carrying value at the year end and the carrying value at the previous year end or purchase value during the year, less the reversal of previously recognized unrealized gains and losses in respect of disposals during the year.

XIX Other operating income

Other operating income represents income generated from sources other than premium revenue and investment income. It includes rental income, profit on disposal of property and equipment, salvage recoveries and other sundry income.

XX Other operating expenses

Other operating expenses are recognised in profit or loss when goods are received or services rendered. They are expenses other than claims, maintenance and underwriting expenses and include employee benefits, depreciation charges and other operating expenses.

XXI Earnings/(loss) per share

The Company presents basic and diluted earnings per share (EPS) data for its ordinary shares. Basic EPS is calculated by dividing the profit or loss that is attributable to ordinary shareholders of the Company by the weighted average number of ordinary shares outstanding during the period. Diluted earnings per share is calculated by adjusting the net profit attributable to ordinary shareholders and the weighted average number of shares outstanding for the effects of all dilutive potential ordinary shares. The Company has no type of shares that would have dilutive effect.

4. Critical accounting estimates and judgments

The Company makes estimates and assumptions that affect the reported amounts of assets and liabilities within the financial year. Estimates and judgments are continually evaluated and based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances.

Assumptions and estimation uncertainties

The preparation of financial statements requires management to make judgments, estimates and assumptions that affect the application of policies and reported amounts of assets and liabilities, income and expenses. The estimates and associated assumptions are based on historical experience and various other factors that are believed to be reasonable under circumstances, the results of which form the basis of making judgments about carrying values of assets and liabilities that are not readily apparent from other sources. Actual results may differ from these estimates under different assumptions and conditions. The estimates and underlying assumptions are reviewed on an on-going basis. Revisions to accounting estimates are recognised thus:

- in the period in which the estimate is revised, if the revision affects only that period, or
- in the period of the revision and future periods, if the revision affects both current and future periods.

Information about assumptions and estimation uncertainties that have a significant risk of resulting in a material adjustment within the next financial year and about critical judgements in applying accounting policies that have the most significant effect on the amounts recognised in the financial statements are stated below:

Judgments

The following are the critical judgments, apart from those involving estimations (which are dealt with separately below), that the Directors have made in the process of applying the Company's accounting policies and that have the most significant effect on amounts recognized in financial statements:

(a) Fair value measurement

The Directors are required to make judgment in selecting an appropriate valuation technique for some financial assets. The significant estimates and judgments applied in determination of fair value of financial assets are as follows:

- Valuation of unquoted securities

The fair value of financial instruments where no active market exists or where quoted prices are not otherwise available are determined by using prices of recent transactions. Where such information is not available, the investments are valued based on various valuation techniques and methods. The unquoted shares in the Company's portfolio for the year ended 31 December 2025 were valued at Over-the-counter (OTC) prices.

- Valuation of land and building

On a determined basis, the Company engages the services of external, independent and qualified valuers to determine the fair value of the Company's land and buildings.

- Valuation of investment properties

The Company's investment property is held for the purpose of capital appreciation and rental income generation. The Company's investment property was revalued by an external, independent valuer on 31 December 2025 using the comparative approach method of valuation to arrive at the open market value as at 31 December 2025. Fair value gains have been recognized in the income statement in line with the fair value model of IAS 40.

(b) Impairment of non-financial assets

At the end of each reporting period, the Company reviews the carrying amounts of its tangible and intangible assets to determine whether there is any indication that those assets have suffered an impairment loss. If any such indication exists, the recoverable amount of the asset is estimated in order to determine the extent of impairment loss (if any). When it is not possible to estimate the recoverable amount of an individual asset, the Company estimates the recoverable amount of the cash-generating unit to which the asset belongs. When a reasonable and consistent basis of allocation can be identified, corporate assets are also allocated to individual cash-generating units, or otherwise they are allocated to the smallest Company of cash-generating units for which a reasonable and consistent allocation basis can be identified.

Intangible assets with indefinite useful lives and intangible assets not yet available for use are tested for impairment at least annually, and whenever there is an indication that the asset may be impaired.

Recoverable amount is the higher of fair value less costs to sell and value in use. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset for which the estimates of future cash flows have not been adjusted.

If the recoverable amount of an asset (or cash-generating unit) is estimated to be less than its carrying amount, the carrying amount of the asset (or cash-generating unit) is reduced to its recoverable amount. An impairment loss is recognized immediately in profit or loss, unless the relevant asset is carried at a revalued amount, in which case the impairment loss is treated as a revaluation decrease and recognised in other comprehensive income.

When an impairment loss subsequently reverses, the carrying amount of the asset (or a cash-generating unit) is increased to the revised estimate of its recoverable amount, but so that the increased carrying amount does not exceed the carrying amount that would have been determined had no impairment loss been recognized for the asset (or cash-generating unit) in prior years. A reversal of an impairment loss is recognized immediately in profit or loss, unless the relevant asset is carried at a revalued amount, in which case the reversal of the impairment loss is treated as a revaluation increase and recognise in other comprehensive income.

(c) Trade receivable

Trade receivable is strictly in compliance with the National Insurance Commission (NAICOM) guideline which requires that the receipt of an insurance premium shall be a condition precedent to a valid contract of insurance and there shall be no cover in respect of an insurance risk unless the premium is paid in advance. However, a receivable period of 30 days is allowed in a brokered business, otherwise, the receivable is considered impaired and an impairment loss recognised in profit or loss.

5. Financial & Insurance Risk Management

The primary objective of the company's risk and financial management framework is to protect the company's shareholders from events that hinder the sustainable achievement of financial performance objectives, including failing to exploit opportunities. Key management recognises the critical importance of having efficient and effective risk management systems in place.

The company has established a risk management function with clear terms of reference from the board of directors, its committees and the associated executive management committees. This is supplemented with a clear organisational structure with documented delegated authorities and responsibilities from the board of directors to executive management committees and senior managers. Lastly, a company policy framework which sets out the risk profiles for the company, risk management, control and business conduct standards for the company's operations has been put in place. Each policy has a number of senior management charged with overseeing compliance with the policy throughout the company.

(a) Financial asset valuation

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date in the principal or, in its absence, the most advantageous market to which the Company has access at that date. Fair values are subject to a control framework designed to ensure that input variables and output are assessed independent of the risk taker. The Company has several financial instruments. These assets were valued making use of other valuation methods other than quoted prices, such as net asset method and income method.

Fair values are subject to a control framework designed to ensure that input variables and output are assessed independent of the risk taker. The Company has several financial instruments. These assets were valued making use of other valuation method other than quoted prices.

Fair value hierarchy

IFRS 13 specifies a hierarchy of valuation techniques based on whether the inputs to those valuation techniques are observable or unobservable. Observable input reflect market data obtained from independent sources; unobservable inputs reflect the Company's market assumptions. These two types of inputs have created the following fair value hierarchy:

Level 1 - Quoted prices (unadjusted) in active markets for identical assets or liabilities. This level includes listed equity securities and debt instruments on exchanges.

Level 2 - Valuation techniques based on observable inputs. This category includes instruments valued using: quoted market prices in active markets for similar instruments; quoted prices for similar instruments in markets that are considered less than active; or other valuation techniques where all significant inputs are directly or indirectly observable from market data.

Level 3 - This includes financial instruments, the valuation of which incorporate significant inputs for the asset or liability that is not based on observable market data (unobservable inputs). Unobservable inputs are those not readily available in an active market due to market illiquidity or complexity of the instrument. These inputs are generally determined based on inputs of a similar nature, historic observations on the level of the input or analytical techniques.

This hierarchy requires the use of observable market data when available. The Company considers relevant and observable market prices in its valuations where possible.

The following table analyses financial instruments measured at fair value at the reporting date by the level of the fair value hierarchy into which the fair value measurement is categorised. The fair values include any deferred differences between the transaction price and the fair value on initial recognition when the fair value is based on valuation technique that uses unobservable inputs

31 December 2025

Financial Assets:	Notes	Level 1 N'000	Level 2 N'000	Level 3 N'000	Total N'000
Financial assets:					
Listed equity shares	21.1	139,547	-	-	139,547
Unlisted equity shares	21.2	-	-	984,138	984,138
Total financial assets measured at fair value		139,547	-	984,138	1,123,685

31 December 2024

Financial Assets:					
Financial assets:					
Listed equity shares	21.1	96,001	-	-	96,001
Unlisted equity shares	21.2	-	-	720,723	720,723
Total financial assets measured at fair value		96,001	-	720,723	816,724

Level 3 fair value measurements

Reconciliation

The following tables shows a reconciliation from the opening balances to the closing balances for fair value measurements in Level 3 of the fair value hierarchy and analyses the total gains and losses recognised recognised in OCI during the year.

31 December 2025		Equity securities
Balance at 1 January	21.2	720,723
Total gain recognised in OCI	21.2	263,415
Balance at 31 December		984,138
Total gain recognized in OCI		
Net change in fair value	21.2	263,415
Net amount reclassified to profit or loss		-

<i>Financial instruments not measured at fair value</i>	Level 1	Level 2	Level 3	Total
	N'000	N'000	N'000	N'000
31 December 2025				
At amortised cost	1,903,452	-	-	1,903,452
	Level 1	Level 2	Level 3	Total
	N'000	N'000	N'000	N'000
31 December 2024				
At amortised cost	1,837,574	-	-	1,837,574

No fair value disclosures are provided for trade receivables, other receivables, trade payables, accruals and other payables that are measured at amortised cost because their carrying value are a reasonable approximation of fair value.

Cash and cash equivalents

Cash and cash equivalents consists of cash on hand and current balances with banks.

The carrying amounts of current balances with banks and other financial institutions is a reasonable approximation of fair value which is the amount receivable on demand.

Trade receivables and other receivables

The carrying amounts of trade receivables and other receivables are reasonable approximation of their fair values which are receivable on demand.

Trade payables, accruals and other payables

The carrying amounts of trade payables, accruals and other payables are reasonable approximations of their fair values which are repayable on demand.

The Company is exposed to the following categories of risk as a consequence of offering different financial products and services by the Company;

(i) Market risk

Market risk is the risk that changes in market prices, such as interest rates, equity prices, foreign exchange rates and credit spreads (not relating to changes in the obligor's / issuer's credit standing) will affect the Company's income or the value of its holdings of financial instruments. The objective of market risk management is to manage and control market risk exposures within acceptable parameters, while optimizing the return on risk.

The Company has put in place a clearly defined market risk management framework that provides the Board of Directors and Management with guidance on market risk management processes. The company has also prescribed tolerable market related losses, vis-a-vis the quantum of available capital and level of other risk exposures.

The company's market risk policy and strategy are anchored on the following:

- product diversification which involves trading, application and investment in a wide range and class of products such as debt, equity, foreign exchange instruments, corporate securities and government securities;
- risk taking within well-defined limits with the sole purpose of creating and enhancing shareholder value and competitive advantage;
- effective utilisation of risk capital;
- continuous re-evaluation of risk appetite and communication of same through market risk limits;
- independent market risk management function that reports directly to Management;
- robust market risk management infrastructure reinforced by a strong automated system for controlling, monitoring and reporting market risk;
- deployment of a variety of tools to monitor and restrict market risk exposures such as position limits, sensitivity analysis, ratio analysis and management action triggers.

Foreign Currency risk

This is the risk of the fair value of financial instruments being affected by changes in foreign exchange rates.

The Company receives certain premiums in foreign currency, in addition to Naira, from its clients; hence, exposures to exchange rate fluctuations arise. The Company is also exposed to foreign currency denominated in dollars through a domiciliary bank balance.

Foreign exchange risk arises from other recognized assets and liabilities denominated in other currencies, and their total sum.

Foreign currency risks arising from insurance contract liabilities have been considered by the Actuary in estimating insurance contract liabilities.

The carrying amounts of the Company's foreign currency denominated assets are as follows:

	Total	
	NGN'000	NGN'000
31 December 2025		
Assets (Cash & cash equivalents)	1,398,478	1,398,478
31 December 2024		Total
Assets (Cash & cash equivalents)	1,150,997	1,150,997

Foreign currency

The following table details the Company's sensitivity to a 10% increase and decrease in foreign currency rates against the Naira. A 10% sensitivity rate is used when reporting foreign currency risk internally to key management personnel and represents management's assessment of the reasonably possible change in foreign exchange rates. For each sensitivity scenario, the impact of change in a single factor is shown, with other assumptions or variables held constant.

The following tables show the effect on the profit before tax as at 31 December 2025 from N1,435.76/\$ (2024: N1,535.82/\$) closing rate. These closing rates were determined by obtaining NAFEM rate.

31 December 2025	Base		Total
	NGN'000	NGN'000	NGN'000
10% increase	1,398,478	139,848	139,848
10% decrease	1,398,478	(139,848)	(139,848)
31 December 2024	Base		Total
	NGN'000	NGN'000	NGN'000
10% increase	1,150,997	115,100	115,100
10% decrease	1,150,997	(115,100)	(115,100)

Interest rate risk

The Company's exposure to interest rate risk relates primarily to the market price and cash flow variability of assets and liabilities associated with changes in interest rates. Changes in interest rates result to reduction in income 'spread' or the difference between the amounts that the Company is required to pay under the contracts and the rate of return the Company is able to earn on investments intended to support obligations under the contracts. Investment spread is, arguably, one of the key components of the net income of insurers.

The Company's mitigation efforts with respect to interest rate risk are primarily focused on maintaining an investment portfolio with diversified maturities that has a weighted average duration or tenor approximately equal to the duration of our liability cash flow profile.

Also, the Company manages this risk by adopting close asset/liability matching criteria, to minimize the impact of mismatches between asset and liability values arising from interest rate movements.

Furthermore, the Company uses sensitivity analysis to measure the impact of interest rate changes and movements on the value of our financial assets scenarios.

The Company's exposure to interest rate risk is limited to changes in fixed income and money market instruments interest rates. These instruments have fixed interest rates.

Interest rate profile

At the end of the reporting period the interest rate profile of the Company's interest bearing financial instruments as reported to the Management of the Company are as follows:

Financial instruments	Notes	2025	2024
<i>In thousands of Naira</i>			
Cash and cash equivalents	20	96,094	61,257
Placements	20	1,302,384	1,252,294
At amortised cost	21.4	1,903,452	1,837,574
Statutory deposits	28	333,654	333,654
		3,635,584	3,484,779

Interest rate sensitivity analysis

The sensitivity analysis below have been determined based on the exposure to interest rates for non-derivative instruments at the balance sheet date. A 10% increase or decrease is used when reporting interest rate risk internally to key management personnel and represents management's assessment of the reasonably possible change in interest rates.

	Base N'000	2025 N'000	Base N'000	2024 N'000
10% increase	3,635,584	363,558	3,484,779	348,478
10% decrease	3,635,584	(363,558)	3,484,779	(348,478)

Other price risk management

The Company is exposed to equity price risks arising from equity investments both quoted and unquoted equity. The shares included in financial assets represent investments in listed securities that present the Company with opportunity for return through dividend income and capital appreciation.

The carrying amounts of the Company's equity investments are as follows:

	Notes	2025 N'000	2024 N'000
Equity Securities -			
Quoted	21.1	139,547	- 96,001
Equity Securities -	21.2	984,138	- 720,723
Unquoted			
		<u>1,123,685</u>	<u>816,724</u>

Equity price sensitivity analysis

The sensitivity analysis below have been determined based on the exposure to equity price changes for both listed and unlisted equities at the balance sheet date. A 10% increase or decrease is used when reporting price change risk internally to key management personnel and represents management's assessment of the reasonably possible change in interest rates.

Quoted Equity	Base N'000	2025 N'000	Base N'000	2024 N'000
10% increase	139,547	13,955	96,001	9,600
10% decrease	139,547	(13,955)	96,001	(9,600)
Unquoted Equity	Base N'000	2025 N'000	Base N'000	2024 N'000
10% increase	984,138	98,414	720,723	72,072
10% decrease	984,138	(98,414)	720,723	(72,072)

Financial & Underwriting Risk Management (Cont'd)

(ii) Credit risk

Credit risk refers to the risk that counterparties will default on their contractual obligations resulting in financial loss to the Company. The key areas of exposure to credit risk for the Company are in relation to its investment portfolio, reinsurance program and receivables from reinsurers and other intermediaries.

The Company has adopted a policy of dealing with only creditworthy counterparties and obtaining sufficient collateral where appropriate, as a means of mitigating the risk of financial loss from defaults. This information is supplied by independent rating agencies, where available, and if not available, the Company uses other publicly available financial information and its own trading records to rate its major policyholders and reinsurers.

The Company's exposure and the credit ratings of its counterparties are continuously monitored and the aggregate value of transactions concluded is spread amongst approved counterparties. Credit exposure is controlled by counterparty limits that are reviewed and approved by the risk management committee annually.

Reinsurance assets are reinsurers' share of outstanding claims and prepaid reinsurance. They are allocated below on the basis of ratings for claims paying ability.

Analysis of financial assets based on past due status

	Financial assets at amortised cost N'000	Reinsurance contract assets N'000	Other receivables N'000	Trade receivables N'000	Total N'000
2025					
Past due and impaired (specific)	3,643	-	-	-	3,643
Past due more than 90 days	-	-	179,301	-	179,301
Past due 31 to 90 days	-	-	-	-	-
Past due less than 30 days	-	-	-	-	-
Neither past due nor impaired	1,899,809	350,145	-	2,751	2,252,705
Total Carrying Amount	1,903,452	350,145	179,301	2,751	2,435,649
	Financial assets at amortised cost N'000	Reinsurance contract assets N'000	Other receivables N'000	Trade receivables N'000	Total N'000
2024					
Past due and impaired (specific)	15,444	-	-	-	15,444
Past due more than 90 days	-	-	134,034	-	134,034
Past due 31 to 90 days	-	-	-	-	-
Past due less than 30 days	-	-	-	-	-
Neither past due nor impaired	1,822,130	613,634	-	56,218	2,491,982
Total Carrying Amount	1,837,574	613,634	134,034	56,218	2,641,460

An analysis of counterparty credit exposure for financial assets which are neither past due nor impaired is as shown in the table below:

	Unrated N'000	A/A- N'000	AA N'000	B/B+ N'000	BB- N'000	BBB N'000	Total N'000
31 December 2025							
Financial assets at amortised cost	-	-	-	1,903,452	-	-	1,903,452
Reinsurance contract assets	350,145	-	-	-	-	-	350,145
Other receivables	179,301	-	-	-	-	-	179,301
Trade receivables	2,751	-	-	-	-	-	2,751
	532,197	-	-	1,903,452	-	-	2,435,649
	Unrated N'000	A/A- N'000	AA N'000	B/B+ N'000	BB- N'000	BBB N'000	Total N'000
31 December 2024							
Financial assets at amortised cost	-	-	-	1,837,574	-	-	1,837,574
Reinsurance contract assets	613,634	-	-	-	-	-	613,634
Other receivables	134,034	-	-	-	-	-	134,034
Trade receivables	56,218	-	-	-	-	-	56,218
	747,668	-	-	1,837,574	-	-	2,641,460

Concentration of credit risk

The company monitors concentration of credit risk by sector

31 December 2025

	Financial institutions	Government	Individuals	Total
	N'000	N'000	N'000	N'000
Financial assets at amortised cost	-	1,903,452	-	1,903,452
Reinsurance contract assets	350,145	-	-	350,145
Other receivables	-	-	179,301	179,301
Trade receivables	2,751	-	-	2,751
	<u>352,896</u>	<u>1,903,452</u>	<u>179,301</u>	<u>2,435,649</u>

31 December 2024

	Financial institutions	Government	Individuals	Total
	-	N'000	N'000	N'000
Financial assets at amortised cost	-	1,837,574	-	1,837,574
Reinsurance contract assets	613,634	-	-	613,634
Other receivables	-	-	134,034	134,034
Trade receivables	56,218	-	-	56,218
	<u>669,852</u>	<u>1,837,574</u>	<u>134,034</u>	<u>2,641,460</u>

(iii) Liquidity risk

Liquidity risk is the risk that the Company will encounter difficulty in meeting obligations associated with its financial liabilities that are settled by delivering cash or another financial asset.

Management of liquidity risk

Guinea Insurance's approach to managing liquidity is to ensure, as far as possible that it will always have sufficient liquidity to meet its liabilities when due, under both normal and stressed conditions, without incurring unacceptable losses or risking damage to the Company's reputation.

The finance unit receives information from operations unit regarding the liquidity profile of their financial assets and liabilities and details of other projected cash flows arising from projected future business. The finance unit then maintains a portfolio of short-term liquid assets, largely made up of short-term liquid trading securities to ensure that sufficient liquidity is maintained within the Company as a whole.

All liquidity policies and procedures are subject to review and approval by the Board of Directors. Daily reports cover the liquidity position of the Company. A summary report, including any exceptions and remedial action taken, is submitted regularly to the Company's finance unit. The Company relies on the fixed deposit balances with the Banks in meeting its liquidity need.

Maturity profile

The following table shows the Company's expected maturity for its non-derivative assets. The table has been drawn up based on the undiscounted contractual maturities of the assets including interest that will be earned on those assets except where the Company anticipates that the cash flow will occur in a different period.

It also shows details of the expected maturity profile of the Company's undiscounted obligations with respect to its financial liabilities and estimated cash flows of recognized insurance contract liabilities. It includes both interest and principal cash flows.

2025	Notes	Carrying amount	Gross Nominal inflow/(outflow)	< 1 month	1 - 3 months	3 - 12 months	1 - 5 years	> 5 years
		N'000	N'000	N'000	N'000	N'000	N'000	N'000
Non-derivative financial assets								
Cash and cash equivalents	20	1,398,478	1,398,478	96,094	1,302,384	-	-	-
At fair value through profit or loss	21.1	139,547	139,547	-	-	139,547	-	-
At fair value through other comprehensive income	21.2	984,138	984,138	-	-	-	-	984,138
At amortised cost	21.2	1,903,452	1,903,452	-	-	1,903,452	-	-
Reinsurance contract assets		350,145	350,145	-	-	350,145	-	-
Trade receivables	23	2,751	2,751	2,751	-	-	-	-
Other receivables (excluding prepayments and WHT receivables)	24	179,301	179,301	-	-	179,301	-	-
Statutory deposits	28	333,654	333,654	-	-	-	-	333,654
		5,291,466	5,291,466	98,845	1,302,384	2,572,445	-	1,317,792
Non-derivative financial liabilities								
Insurance contract liability	29	(1,336,447)	(1,336,447)	-	(1,336,447)	-	-	-
Accruals & other payables (excluding statute based deductions and unearned rent income)	30	(130,393)	(130,393)	-	-	(130,393)	-	-
		(130,393)	(130,393)	-	-	(130,393)	-	-
Gap (asset - liabilities)		5,161,073	5,161,073	98,845	1,302,384	2,442,052	-	1,317,792

2024	Notes	Carrying Amount N'000	Contractual cashflow N'000	< 1 month N'000	1 - 3 months N'000	3 - 12 months N'000	1 - 5 years N'000	> 5 years N'000
Non-derivative financial assets								
Cash and cash equivalents	20	1,313,551	1,313,551	61,257	1,252,294	-	-	-
At fair value through profit or loss	21	96,001	96,001	-	-	96,001	-	-
At fair value through other comprehensive income	21	720,723	720,723	-	-	-	-	720,723
At amortised cost	21	1,837,574	1,837,574	-	-	1,837,574	-	-
Reinsurance contract assets		613,634	613,634	-	-	613,634	-	-
Trade receivables	23	56,218	56,218	56,218	-	-	-	-
Other receivables (excluding prepayments and WHT receivables)	24	134,034	134,034	-	-	134,034	-	-
Statutory deposits	28	333,654	333,654	-	-	-	-	333,654
		5,105,389	5,105,389	117,475	1,252,294	2,681,243	-	1,054,377
Non-derivative financial liabilities								
Insurance contract liability	29	(1,416,432)	(1,416,432)	-	(1,416,432)	-	-	-
Accruals & other payables (excluding statute based deductions and unearned rent income)	30	(196,506)	(196,506)	-	-	(196,506)	-	-
		(1,612,938)	(1,612,938)	-	(1,416,432)	(196,506)	-	-
Gap (asset - liabilities)		3,492,451	3,492,451	117,475	(164,138)	2,484,737	-	1,054,377

The Company expects to meet its other obligations from operating cash flows and proceeds of maturing financial assets and other sources listed in "Sources of Liquidity" above.

(iv) Underwriting risk management

The Company accepts insurance risk through its insurance contracts where it assumes the risk of loss from persons or organisations that are directly subject to the underlying loss. The Company is exposed to the uncertainty surrounding the timing, frequency and severity of claims under these contracts.

The Company manages its risk via its underwriting and reinsurance strategy within an overall risk management framework. Pricing is based on regulations which have regard to trends and past experience. Exposures are managed by having documented underwriting limits and criteria. Reinsurance is purchased to mitigate the effect of potential loss to the Company from individual large or catastrophic events and also to provide access to specialist risks and to assist in managing capital. Reinsurance policies are written with approved reinsurers on either a proportional or excess of loss treaty basis.

Regulatory capital is also managed (though not exclusively) by reference to the insurance risk to which the Company is exposed.

Financial & Underwriting Risk Management (Cont'd)

The Company writes fire, general accident, marine & aviation and motor risks primarily over a duration usually twelve month. The most significant risks arise from natural disasters, climate change and other catastrophes (i.e. high severity, low frequency events). A concentration of risk may also arise from a single insurance contract issued to a particular demographic type of policyholder, within a geographical location or to types of commercial business. The relative variability of the outcome is mitigated if there is a large portfolio of similar risks.

The table below shows the carrying amounts of the Company's insurance contracts (net of reinsurance) by country of issue.

	Gross		Reinsurance		Net	
	2025	2024	2025	2024	2025	2024
	N'000	N'000	N'000	N'000	N'000	N'000
- Within Nigeria	1,336,447	1,416,432	350,145	613,634	986,302	802,798
- Outside Nigeria	-	-	-	-	-	-
Total	1,336,447	1,416,432	350,145	613,634	986,302	802,798

The carrying amounts of the Company's non-life insurance contracts (net of reinsurance) are analysed by type of product below:

	Gross	Reinsurance	Net	Gross	Reinsurance	Net
	2025	2025	2025	2024	2024	2024
	N'000	N'000	N'000	N'000	N'000	N'000
General Accident	608,285	223,445	384,840	795,166	453,938	341,228
Fire	331,139	47,678	283,461	266,989	102,836	164,153
Marine & Aviation	179,859	52,255	127,604	105,745	25,479	80,266
Motor	217,164	26,767	190,397	248,533	31,379	217,154
TOTAL	1,336,448	350,145	986,303	1,416,433	613,632	802,801

Outstanding claims on insurance contracts

Outstanding claim represents the estimated ultimate cost of settling all claims arising from incidents occurring as at the date of the statement of financial position.

(a) Methodology

(i) Valuation

Logic Professional Services adopted the 365th (time apportionment) method. Each policy's unexpired insurance period (UP) was calculated as the exact number of days of insurance cover available after the valuation date.

(ii) Discounting

No allowance has been made for discounting as it is not expected to have a significant impact given the relatively short-tailed claims run-off.

(iii) Reserving Methods and Assumptions - 31 December 2025

The volume of data in the reserving classes influenced the methodologies used. Four methods were used for the projection of claims;

(a) The Basic Chain Ladder Method (BCL)

The Basic Chain Ladder method forms the basis to the deterministic reserving methods explained below. For each class of business, historical paid claims were grouped into accident year cohorts representing when they were paid after their accident year. These cohorts form the development triangles. Each accident years, paid claims were accumulated to the valuation date and projected into the future to attain the expected ultimate claim arising in the year. This assumes the trends observed in the historical data will continue. The gross claim reserve is calculated as the difference between the cumulated paid claims and the estimated ultimate claims. For the later years where the cohorts are underdeveloped or has less than expected claims, the Bornheutter Ferguson (BF) method was used to estimate the ultimate claims. The appropriate loss ratio used in estimating the BF ultimate claim was the average of fully developed historical years.

(b) The loss ratio method

This method is simple and gives an approximate estimate. This method was adopted as a check on the actuary's ultimate projections and also where there were insufficient data to be credible to use for the statistical approaches. Under this method, Ultimate claims were obtained by studying the historical loss ratios, investigating any differences and using judgments to derive a loss ratio. Paid claims already emerged were then deducted from the estimated Ultimate claims to obtain our reserves.

(c) A Bornheutter Ferguson method.

This method essentially combines the estimates attained from the above two methods. The BF method takes a weighted average of the two estimates, where the weights are related to the number of claims already reported. Therefore, the more past information there is available, the higher the weighting given to the chain ladder estimate.

(d) Frequency and Severity Method

This method investigates the trend of the claim frequency and average cost per claim for each accident year. An Average of the fully run off accident years was used as a guide on the ultimate claim frequency and ultimate average cost which was then adopted for the accident years that are not fully run off. Large losses distorting the claims payment trend was excluded from all our chain ladder projections and analyzed separately using the Average Cost per claim method.

Choice of Method

The IBNR reserves are determined using deterministic calculations which provide a “best estimate” of the reserve. The “best-estimate” is determined by applying a combination of the Chain Ladder (“CL”) and the Bornhuetter-Ferguson (“BF”) methods to attritional paid claims triangles. The combination between a CL and BF methods aims to reflect the reliability of information when estimating the IBNR. For earlier accident years, where the development is reasonably mature, a CL approach was used which relied more heavily on the data to set the ultimate level of claims. For later accident periods where there still exists a large degree of uncertainty about the ultimate level of claims and the reported to date is a less reliable estimate of the ultimate loss, a BF method is used which makes use of an estimate of the ultimate loss ratio. The results of the Inflation Adjusted Chain Ladder method (Discounted) and Bornhuetter-Ferguson are dependent upon the stability of the triangulated claims information used to derive the claims development patterns. The triangulations are examined for any anomalous movements that may have distorted the estimated patterns in order to smooth these out. This prevents distortion of the results by once-off extreme movements and therefore ensures a stable result from year to year.

e Sensitivity analysis.

Claims paid triangulation as at 31 December 2025 excluding large claims.

Cummulative Chain Ladder - Annual Projections (N'000)

General Accident	
------------------	--

Cumulative Chain ladder-Annual Projections (N'000)

[illegible]

Motor

[illegible][illegible]

Financial & Insurance Risk Management (Cont'd)

f Capital Management

Our capital management framework is primarily based on statutory risk-based capital and solvency margin measures. The Company manages its capital to ensure that it continues as a going concern and complies with the regulators' capital requirements while maximizing the return to stakeholders through the optimization of its equity balance. The capital structure of the Company consists of equity attributable to equity holders of the Company, comprising issued capital, reserves and a retained loss. Reinsurance is also used as part of capital management.

The regulatory capital (as required under Insurance Act 2003 and NAICOM Guideline) within the Company has been maintained and preserved over the reporting periods. The minimum regulatory capital for general insurers in Nigeria is N3 billion. However, during the year, the President of the Federal Republic of Nigeria signed into law the Nigeria Insurance Industry Reform Act (NIIRA 2025) which aimed at reforming and strengthening the Insurance Industry. Notably among its provisions is the increase in Minimum Share Capital of General Insurance Company from 3Billion to N15billion. To comply with the provisions of the Act which becomes effective August 1, 2026. Guinea Insurance Plc is already putting structures in place to boost up its capital from its current N3billion to a minimum of N15billion.

The Company equally measures its capital using an economic capital model which is the Company's own assessment of the amount of capital it needs to hold which takes into account both financial and non-financial assumptions. In most cases the internally required capital is determined by the application of percentages to premiums, claims, reserves and expenses.

There was no change made neither to the capital base nor to the objectives, policies and processes for managing capital. Under our capital management policy approved by the Board of Directors, the Managing Director and the Chief Financial Officer are authorized to approve capital actions on behalf of the Company and to further delegate authority with respect to capital actions to appropriate officers. Any capital commitment that exceeds the authority granted to senior management is separately authorized by the Board.

The Insurance Act 2003 (Section 24) prescribed that an insurer shall in respect of its business other than life insurance business, maintain a margin of solvency being the excess of the value of its admissible assets in Nigeria over its liabilities in Nigeria.

The solvency margin, which is determined as the excess of admissible assets over total liabilities shall not be less than 15% of the gross premium income less reinsurance premiums paid out during the year under review or the minimum paid up capital, whichever is greater.

In thousands of Naira

Statement of Solvency Margin Computation				
Under S.24 (1) of the Insurance Act 2003				
		2025	2025	2024
		N'000	N'000	N'000
Admissible assets	Total	Inadmissible	Admissible	Admissible
Cash and cash equivalents	1,398,478	-	1,398,478	1,313,551
Financial assets:				-
Quoted Shares	139,547	-	139,547	96,001
Unquoted Shares	984,138		984,138	720,723
Treasury Bills	1,903,452	-	1,903,452	1,837,574
Reinsurance contract assets	350,145	-	350,145	613,634
Trade receivables	2,751	-	2,751	56,218
Other receivables and prepayments	179,301	133,280	46,021	11,509
Investment properties	1,107,000		1,107,000	855,000
Intangible asset	28,952	28,952	-	-
Property, plant and equipment	987,189		987,189	951,747
Statutory deposit	333,654	-	333,654	333,654
Total assets	7,414,607	162,232	7,252,375 (A)	6,789,611
Less admissible liabilities				
Insurance contract liabilities	1,336,447	-	1,336,447	1,416,432
Other payables and accruals	130,393	-	130,393	196,506
Employee benefit obligations	740	-	740	5,882
Current tax payable	47,970	-	47,970	56,830
Deferred tax liabilities	57,093	57,093	-	-
Total liabilities	1,572,644	57,093	1,515,551 (B)	1,675,650
Minimum to be maintained:			5,736,824	5,113,961
The higher of 15% of net premium and			439,245	425,588
Minimum paid up share capital			3,000,000	3,000,000
Solvency margin (A-B) = C			2,736,824	2,113,961

Classification of financial assets and liabilities

Financial assets and liabilities

The table below sets out the Company's classification of each class of financial assets and liabilities and their fair values.

		At fair value through profit or loss N'000	At fair value through other comprehensive income N'000	At amortised cost N'000	Other financial asset/(liabilities) at amortised cost N'000	Total carrying amount N'000	Fair value N'000
2025	Notes						
Fair value through profit or loss	21.1	139,547	-	-	-	139,547	139,547
Fair value through other comprehensive income	21.2	-	984,138	-	-	984,138	984,138
At amortised cost	21.4	-	-	1,903,452		1,903,452	1,903,452
Trade receivables	23	-	-		2,751	2,751	2,751
Other receivables (excluding prepayments and WHT receivables)	24	-	-		179,301	179,301	179,301
Statutory deposits	28	-	-		333,654	333,654	333,654
		139,547	984,138	1,903,452	515,706	3,542,843	3,542,843
Accruals & other payables (excluding statue based deductions and unearned rent income)	30	-	-	(130,393)	-	(130,393)	(130,393)
		-	-	(130,393)	-	(130,393)	(130,393)
		At fair value through profit or loss N'000	At fair value through other comprehensive income N'000	At amortised cost N'000	Other financial asset/(liabilities) at amortised cost N'000	Total carrying amount N'000	Fair value N'000
2024							
Fair value through profit or loss	21.1	96,001	-	-	-	96,001	96,001
Fair value through other comprehensive income	21.2	-	720,723	-	-	720,723	720,723
At amortised cost	21.4			1,837,574			
Trade receivables	23	-	-		56,218	56,218	56,218
Other receivables (excluding prepayments and WHT receivables)	24	-	-		134,034	134,034	134,034
Statutory deposits	28	-	-		333,654	333,654	333,654
		96,001	720,723	1,837,574	523,906	1,340,630	1,340,630
Accruals & other payables (excluding statue based deductions and unearned rent income)	30	-	-	(196,506)	-	(196,506)	(196,506)
		-	-	(196,506)	-	(196,506)	(196,506)

6. Segment Reporting

The accounting policies of the reportable segments are the same as the Company's accounting policies.

Segment result represents the result of each segment without allocation of certain expenses, finance costs and income tax. This is the measure reported to the Company's Chief operating decision maker for the purpose of resource allocation and assessment of segment performance.

The following is an analysis of the Company's revenue and result by reportable segment in 2025 and 2024.

2025	Motor	General	Marine	Fire	Total
	N'000	accident	and	N'000	N'000
		N'000	Aviation		
Income:					
Insurance revenue	420,579	1,778,460	121,771	607,493	2,928,303
Insurance service expenses	(184,753)	(781,248)	(53,492)	(266,862)	(1,286,355)
Net expenses on reinsurance contracts	(69,861)	(295,414)	(20,227)	(100,909)	(486,410)
Insurance service result	165,965	701,798	48,052	239,723	1,155,538
2024	Motor	General	Marine	Fire	Total
	N'000	accident	and	N'000	N'000
		N'000	Aviation		
Income:					
Insurance revenue	582,858	1,705,130	93,111	456,152	2,837,251
Insurance service expenses	(361,774)	(1,058,358)	(57,793)	(283,129)	(1,761,055)
Net expenses on reinsurance contracts	(5,670)	(16,587)	(906)	(4,437)	(27,600)
Insurance service result	215,414	630,185	34,412	168,585	1,048,596

7. Hypothecation of insurance fund on assets

The Company structured its assets to meet the requirements of the Insurance Act 2003 such that policyholders' assets and funds are not co-mingled with shareholders'.

In particular, investment properties, investment securities (equities and fixed income securities) and insurance funds hypothecated to policyholders are distinguished from those owned by the shareholders.

The assets hypothecated are shown below:

	31 December 2025			31 December 2024		
	Insurance funds N'000	Shareholders funds N'000	Total N'000	Insurance funds N'000	Shareholders funds N'000	Total N'000
Assets						
Cash and cash equivalents		1,398,478	1,398,478	-	1,313,551	1,313,551
Financial assets						
Quoted Equities	-	139,547	139,547	-	96,001	96,001
Unquoted Equities	-	984,138	984,138	-	720,723	720,723
Treasury Bills	1,518,504	384,948	1,903,452	1,200,265	637,309	1,837,574
Reinsurance contract assets	217,793	132,352	350,145	571,366	42,268	613,634
Trade receivable		2,751	2,751	-	56,218	56,218
Other receivables and prepayments	-	179,301	179,301	-	134,034	134,034
Investment properties	-	1,107,000	1,107,000	-	855,000	855,000
Intangible asset	-	28,952	28,952	-	40,867	40,867
Property and equipment	-	987,189	987,189	-	951,747	951,747
Statutory deposit	-	333,654	333,654	-	333,654	333,654
Total assets	1,736,297	5,678,310	7,414,607	1,771,631	5,181,372	6,953,003
Liabilities						
Insurance contract liabilities	1,336,447	-	1,336,447	1,416,432	-	1,416,432
Other payables and accruals	-	130,393	130,393	-	196,506	196,506
Employee benefit obligations	-	740	740	-	5,882	5,882
Current tax payable	-	47,970	47,970	-	56,830	56,830
Deferred tax liabilities	-	57,093	57,093	-	56,594	56,594
Total liabilities	1,336,447	233,113	1,569,561	1,416,432	315,812	1,732,243
SURPLUS	399,850	5,546,807	5,728,864	355,199	4,865,561	5,220,760

	2025 N'000	2024 N'000
8 Insurance revenue		
Motor	420,579	582,858
Fire	607,493	456,152
Marine	121,771	93,111
General accident	1,441,458	1,180,775
Oil and gas	337,002	524,355
	2,928,303	2,837,251
9 Insurance service expenses		N'000
Incurred claims (Note 29.4)	463,170	1,003,994
Amortization of insurance acquisition cashflows (Note 29.4)	803,017	738,798
Losses and reversals of losses on onerous contracts (Note 29.4)	20,168	18,263
	1,286,355	1,761,055
10 Net expenses from reinsurance contracts held	N'000	N'000
Reinsurance expenses (Note 22.3)	997,855	870,448
Recoveries of incurred claims and other attributable income (Note 22.3)	(247,822)	(635,807)
Commission Income (Note 22.3)	(270,606)	(200,058)
Recoveries/(reversals of recoveries) on onerous contracts (Note 22.3)	6,983	(6,983)
	486,410	27,600
11 Investment income	N'000	N'000
Rental income from land and building	19,659	44,548
Dividend income on financial assets at fair value through other comprehensive income	98,002	7,402
Interest income on statutory deposit with CBN	94,374	35,214
Interest income on fixed deposits	55,891	63,696
Interest on current account	19	2
Interest income on treasury bills	388,378	174,415
	656,323	325,277
11.1 Unrealised foreign exchange (loss)/gain on fixed deposits	N'000	N'000
Unrealised foreign exchange (loss) gain on fixed deposits	(51,422)	485,554
12 Net fair value gains on financial assets		
(a) Net fair value gains on financial assets at FVTPL	N'000	N'000
Net changes in fair value - Quoted equity	40,965	16,830
(b) Net fair value gains on financial assets at FVTOCI	N'000	N'000
Net changes in fair value - Unquoted equity	263,415	381,437
13 Fair value gains on investment properties	N'000	N'000
Fair value gains on investment properties (Note 26)	216,500	357,355
13.1 Net insurance finance income	N'000	N'000
Insurance finance expenses from insurance contracts issued (Note 29.3)	-	1,372
Insurance finance Income from reinsurance contracts held (Note 22.3)	-	1,211
	-	2,583
14 Other operating income	N'000	N'000
Recoveries from claims (salvage and subrogation)	4,377	99,644
Foreign exchange gains	-	30,842
Gain on disposal of property, plant and equipment	32,500	-
Withholding tax credit notes recovered	16,755	38,493
Sundry income	133	-
	53,765	168,979

	2025	2024
	N'000	N'000
15 Other operating expenses		
Depreciation of property, plant and equipment (Note 27)	117,568	89,098
Amortisation of intangible assets (Note 26)	11,915	12,086
Auditor's remuneration	7,000	7,000
Staff cost (Note 15.1)	788,150	494,331
Legal and professional fees	49,872	108,852
Rent and rates	25,349	11,913
Administrative expenses (note 15.2)	708,419	762,758
	1,708,273	1,486,038

Non-Assurance Service

There were no non Assurance Services carried out by BDO Professional Service during the year

	N'000	N'000
15.1 Staff cost		
Wages and salaries	761,863	475,916
Pension costs	26,287	18,415
	788,150	494,331
15.2 Administrative expenses	N'000	N'000
Fuel	28,755	71,675
Office expenses	124,089	6,865
Entertainment	9,511	7,195
Printing	3,059	4,937
Directors fees and allowances	27,583	30,000
Directors expenses	54,673	167,579
AGM expenses	13,643	10,852
Subscription	13,968	14,266
Advertising	35,604	47,628
Contributions	18,119	5,310
NSITF	2,981	2,214
Financial Reporting Council of Nig- FRCN	4,279	2,000
Stamp Duties	-	507
Nigerain Insurers Association- NIA	5,469	4,921
NAICOM dues	41,030	32,293
Bank charges	21,820	19,350
Industrial Traning Fund	6,866	3,036
Insurance	30,307	6,578
Contractors outsourced staff	48,904	68,810
Medicals	28,130	17,388
Back duty assessments	-	10,830
Penalties	1,975	8,174
ICT expense	70,976	67,140
Foreign exchange loss	5,665	-
Office maintenance	111,013	153,210
	708,419	762,758

Office maintenance expenses includes car repairs and maintenance and office maintenance.

Backduty assessments relate to additional VAT and withholding tax assessments for 2019 to 2022 financial year by FIRS.

	N'000	N'000
16 Impairment reversal/(loss) on financial assets at amortised cost		
Impairment reversal/(loss) on financial assets at amortised cost (Note 21.4)	11,801	(14,722)

17 Current tax	2025	2024
Recognised in profit or loss	N'000	N'000
Current year		
Minimum tax	-	16,704
Tertiary Education tax	-	3,485
National Information Technology Development Fund (NITDF) Levy	-	9,044
Police Trust Fund Levy	-	44
Capital Gain tax	3,250	-
Development Levy	18,650	-
Underprovision for the prior years		
Income tax	-	32,164
Tertiary Education tax	-	2,897
	21,900	64,338
Deferred tax (Note 33)	-	(96,478)
	21,900	(32,140)

17.1 Reconciliation of effective tax rate

	N'000	N'000
Profit before tax	375,197	904,413
Income tax using the domestic corporation tax rate	112,559	271,324
Non-deductible expenses	44,873	23,783
Loss relieved	(143,418)	(34,364)
Minimum tax	-	16,704
Tax exempt income	(14,014)	(260,743)
National Information Technology Development Fund (NITDF) Levy	-	9,044
Police Trust Fund Levy	-	44
Tertiary Education tax	-	3,485
Capital Gain tax	3,250	-
Development Levy	18,650	-
Changes in estimates related to prior years	-	(61,417)
Total income tax expense	21,900	(32,139)
Effective tax rate	6	(4)

The tax rates used for reconciliation above is the corporate tax rate of 30% (2024:30%) and 4% for development levy payable by corporate entities in Nigeria on taxable profits under laws in the Country for the year ended 31 December 2025.

18 Dividends paid and proposed

No dividend was proposed or paid by the Company for the year ended 31 December 2025 (2024: Nil).

19 Earnings per share

Basic earnings per share is calculated by dividing the profit attributable to the ordinary shareholders by the weighted average number of ordinary shares in issue during the year outstanding at the reporting date. There are no potential diluted shares

	2025	2024
	N'000	N'000
Profit attributable to ordinary shareholders	353,297	936,553
Weighted average number of ordinary shares issued	7,942,800	7,942,800
Basic and diluted earnings per ordinary share (Kobo)	4.45	11.79

20 Cash and cash equivalents

Cash and cash equivalent comprises :	N'000	N'000
Balance held with banks in Nigeria	96,094	61,257
Placements (Note 20.1)	1,302,384	1,252,294
	1,398,478	1,313,551

Representing:

Policyholder's fund	96,094	61,257
Shareholder's fund	1,302,384	1,252,294
	<u>1,398,478</u>	<u>1,313,551</u>

20.1 Placements (Note 20.1)

	N'000	N'000
At 1 January	1,252,294	923,789
Addition during the year	65,181	328,505
Reclassification of long term deposit	(15,091)	-
At 31 December	<u>1,302,384</u>	<u>1,252,294</u>

Placements comprise deposits with maturity periods of less than 90 days from the value date of the instruments. All placements are subject to an average variable interest rate of 15% (2024: 13%) obtainable in the market.

The carrying amounts disclosed above reasonably approximate fair value at the reporting date and are all current balances. There was no impairment loss recognised on cash and cash equivalents during the year since as at the time of finalizing the Accounts, majority of the funds had mature with no credit loss or impairment

21 Financial assets

The company's financial assets are summarized by categories as follows:

	N'000	N'000
Fair value through profit or loss (Note 21.1)	139,547	96,001
Fair value through other comprehensive income (Note 21.2)	984,138	720,723
Financial assets at amortised cost (Note 21.4)	1,903,452	1,837,574
	<u>3,027,137</u>	<u>2,654,298</u>

21.1 Financial assets at fair value through profit or loss

This represents the value of quoted equity instruments

	2025	2024
	N'000	N'000
Balance at the beginning of the year	96,001	79,171
Addition	2,581	-
Fair value gain	40,965	16,830
Balance at the end of the year	<u>139,547</u>	<u>96,001</u>

21.2 Financial assets at fair value through other comprehensive income

This represents the value of unquoted equity instruments held for strategic reasons

	N'000	N'000
Balance at the beginning of the year	720,723	339,286
Fair value gain	263,415	381,437
Balance at the end of the year	<u>984,138</u>	<u>720,723</u>

21.3 Unquoted Equity comprise the following individual investments:

	Fair Value- 2025	Fair Value- 2024
	N'000	N'000
Investments		
African Reinsurance Corporation	350,216	272,762
WAICA Reinsurance Corporation	583,117	397,513
Sterling Assurance Nigeria Ltd	2,456	3,880
Grand Cereals and Oils Mills Ltd	48,349	46,568
	<u>984,138</u>	<u>720,723</u>

The valuation of unquoted investments as at 31 December 2025 was carried out by KrestonPedabo Professional Services and signed on behalf of the Consultant by Mr Peter Nosa Ogbebor (FRC/2013/ICAN/004/902957).

The firm's FRC number is FRC/2022/COY/861283.

	2025 N'000	2024 N'000
21.4 Financial assets at amortized cost		
Nigerian Treasury bills	1,903,452	1,837,574
(a) Movement in financial assets at amortised cost during the year is as follows:		
At 1 January	1,853,018	1,746,089
Liquidation	(2,686,663)	(1,745,367)
Addition	2,337,271	1,677,881
Reclassification of long term deposit	15,091	-
Interest accrued	388,378	174,415
	1,907,095	1,853,018
Expected credit loss (Note 21.4 (b))	(3,643)	(15,444)
Carrying amount	1,903,452	1,837,574
Classification	N'000	N'000
Current	1,903,452	1,837,574
Non-current	-	-
	1,903,452	1,837,574
(b) Movement in expected credit losses	N'000	N'000
At 1 January	15,444	722
Expected credit (reversal)/loss during the year	(11,801)	14,722
At 31 December	3,643	15,444
22 Reinsurance contract assets	N'000	N'000
Assets for remaining coverage (Note 22.1)	132,352	146,939
Amount recoverable for incurred claims (Note 22.2)	217,793	466,695
	350,145	613,634
	350,145	613,634
22.1 Asset for remaining coverage by class	N'000	N'000
General accident	72,177	43,192
Fire	9,636	37,009
Marine	8,663	4,021
Motor	11,986	15,312
Oil and gas	29,890	47,405
	132,352	146,939
22.2 Asset for incurred claims by class	N'000	N'000
General accident	57,838	96,505
Fire	38,042	65,827
Marine	43,592	21,458
Motor	14,781	16,068
Oil and gas	63,540	266,837
	217,793	466,695

22.3 Reconciliation of Reinsurance contracts held, 31 December 2025

	Assets for remaining coverage		Amount recoverable on Incurred claims		Total
	Non-loss Component N'000	Loss Component N'000	Estimate of the present value of future cash flows N'000	Risk Adjustment N'000	N'000
Reinsurance contract assets at 1 January 2025	139,956	6,983	404,968	61,727	613,633
Reinsurance contract liabilities at 1 January 2025	-	-	-	-	-
Net reinsurance contracts at 1 January 2025	139,956	6,983	404,968	61,727	613,633
Reinsurance expenses	(997,855)	-	-	-	(997,855)
Amounts recoverable from reinsurance					
Recoveries of incurred claims and other attributable income		-	247,822	-	247,822
Commission Income	270,606	-	-	-	270,606
Reversals of recoveries on onerous contracts	-	(6,983)	-	-	(6,983)
	(727,249)	(6,983)	247,822	-	(486,410)
Insurance finance income	-	-	-	-	-
Total changes in statement of profit or loss and OCI	(727,249)	(6,983)	247,822	-	(486,410)
Cash flows for the year					
Reinsurance premiums paid	865,238	-	-	-	865,238
Commission received	(272,958)	-	-	-	(272,958)
Amounts received under reinsurance contracts held	-	-	(369,358)	-	(369,358)
Net cash inflow	592,280	-	(369,358)	-	222,922
Reinsurance contract assets at 31 December 2025	4,987	-	283,432	61,727	350,145
Reinsurance contract liabilities at 31 December 2025	-	-	-	-	-
Net reinsurance contracts at 31 December 2025	4,987	-	283,432	61,727	350,145

22.4 Reconciliation of Reinsurance contracts held, 31 December 2024

	Assets for remaining coverage		Amount recoverable on Incurred claims		Total
	Non-loss Component N'000	Loss Component N'000	Estimate of the present value of future cash flows N'000	Risk Adjustment N'000	N'000
Reinsurance contract assets at 1 January 2024	109,904	-	230,240	24,976	365,120
Reinsurance contract liabilities at 1 January 2024	-	-	-	-	-
Net reinsurance contracts at 1 January 2024	109,904	-	230,240	24,976	365,120
Reinsurance expenses	(870,448)	-	-	-	(870,448)
Amounts recoverable from reinsurance					
Recoveries of incurred claims and other attributable income	-	-	599,056	36,751	635,807
Commission Income	200,058	-	-	-	200,058
Recoveries on onerous contracts	-	6,983	-	-	6,983
	(670,390)	6,983	599,056	36,751	(27,600)
Insurance finance income	-	-	1,211	-	1,211
Total changes in statement of profit or loss and OCI	(670,390)	6,983	600,267	36,751	(26,389)

	Assets for remaining coverage		Amount recoverable on incurred claims		Total
	Non-loss Component N'000	Loss Component N'000	Estimate of the present value of future cash flows N'000	Risk Adjustment N'000	
Cash flows for the year					N'000
Reinsurance premiums paid	907,900	-	-	-	907,900
Commission received	(207,458)	-	-	-	(207,458)
Amounts received under reinsurance contracts held	-	-	(425,539)	-	(425,539)
Net cash inflow	700,442	-	(425,539)	-	274,903
Reinsurance contract assets at 31 December 2024	139,956	6,983	404,968	61,727	613,633
Reinsurance contract liabilities at 31 December 2024	-	-	-	-	-
Net reinsurance contracts at 31 December 2024	139,956	6,983	404,968	61,727	613,633

	2025 N'000	2024 N'000
23 Trade receivables		
At 1 January	56,218	8,830
Gross premium written	3,160,379	2,935,385
Less:		
Premium received	(3,213,846)	(2,887,997)
At 31 December	<u>2,751</u>	<u>56,218</u>

Trade receivables comprises the followings:

	N'000	N'000
Broker	2,752	56,218
	<u>2,752</u>	<u>56,218</u>

Age analysis of trade receivables

Age of debt	No. of policies	N'000	N'000
Within 14 days	-	-	-
Within 15- 30 days	7	2,752	56,218
Within 31 - 90 days	-	-	-
Within 91- 180 days	-	-	-
Above 180 days	-	-	-
Total	7	2,752	56,218

24 Other receivables and prepayments	N'000	N'000
Prepaid staff expense	11,023	11,509
Accrued interest on statutory deposit	34,998	2,399
Rent receivable	33,523	41,082
Withholding tax receivable	77,075	38,530
Deposit for assets	-	35,621
Prepayments	25,556	7,767
	<u>182,175</u>	<u>136,908</u>
Impairment on other receivables (Note 24.1)	(2,874)	(2,874)
	<u>179,301</u>	<u>134,034</u>

	2025	2024
	N'000	N'000
Classification		
Current	179,301	134,034
Non-current	-	-
	<u>179,301</u>	<u>134,034</u>
24.1 Movement on impairment of other receivables	N'000	N'000
As 1 January	2,874	96,754
Balance written off	-	(93,880)
At December	<u>2,874</u>	<u>2,874</u>
The carrying amounts disclosed above reasonably approximate the fair value at the reporting date. All other receivable amounts are collectible within one year. Prepayments are also utilisable within one year.		
25 Investment properties		
Reconciliation of carrying amount	N'000	N'000
At 1 January	855,000	150,000
Reclassification	35,500	347,645
Fair value gain	216,500	357,355
	<u>1,107,000</u>	<u>855,000</u>
Anthony Property		
Reconciliation of carrying amount	N'000	N'000
At 1 January	195,000	150,000
Fair value gain	5,000	45,000
	<u>200,000</u>	<u>195,000</u>
Jibowu House Investment Property- 50%		
Reconciliation of carrying amount	N'000	N'000
At 1 January	660,000	-
Reclassification (to)/from property, plant and equipment (Note 27)		
Cost	(35,500)	401,650
Accumulated depreciation	-	(54,005)
Fair value gain	125,500	312,355
	<u>750,000</u>	<u>660,000</u>
Abuja land		
Reconciliation of carrying amount	N'000	N'000
At 1 January	-	-
Reclassification from property, plant and equipment (Note 27.2)	71,000	-
Fair value gain	86,000	-
	<u>157,000</u>	<u>-</u>

Investment properties are stated at fair value, which has been determined based on valuations performed by Ubosi Eleh & Co.(FRCN/2014/NIESV/00000003997) signed by Eleh D. Chukwuemeka FRC/2015/NIESV/00000013406 , accredited independent valuers, The valuer is a specialist in valuing these types of investment properties. The determination of fair value of the investment property was supported by market evidence. The modalities and process of valuation utilized extensive analysis of market data and other sectors specific peculiarities corroborated with available data derived from previous experiences. There was no disposal of any property during the year. The title document in respect of this property is the deed of assignment jointly executed by the parties involved.

Valuations are performed on an annual basis and the fair value gains and losses were recorded within the profit or loss.

Description of valuation techniques used and key inputs to valuation on investment properties

The valuation of the properties is based on the price for which comparable land and properties are being exchanged hands on or are being marketed for sale (investment method). By nature, detailed information on concluded transactions is difficult to come by. We have therefore relied on past transactions and recent adverts in deriving the value of the subject properties. At least, eight properties were analysed and compared with the subject property.

There are no restrictions on the reliability of investment property or the remittance of income and proceeds of disposal. The Company has no contractual obligations to purchase, construct or develop investment property or for repairs or enhancement.

25.1	Valuation		
	Description	Details	
	Location of Investment property	5, Primate Adejobi Crescent, Anthony Village, Lagos	
	Name of valuer	Ubosi Eleh & Co.	
	Address of valuer	27, Obafemi Awolowo Way, Ikeja, Lagos.	
	FRC number	FRCN/2014/NIESV/00000003997	
	NIESVA Reg. No	ESV A-576	
	Value (2025 N'000)	N200,000	
	Value (2024 N'000)	N195,000	

Description of valuation techniques used and key inputs to valuation on investment properties.

The valuation of the properties is based on the price for which comparable land and properties are being exchanged or are being marketed for sale. (Open Market Basis Approach)

Location of Investment property	5, Primate Adejobi Crescent, Anthony Village, Lagos
Level	Level 3
Valuation technique	Investment approach was adopted in arriving at the fair value through the analysis of comparable of recent rental values of similar properties within the neighbourhood.
Significant unobservable input	The land area is 611.62m ² . The neighbourhood is predominant with residential properties and estate.

25.2	Valuation		
	Description	Details	
	Location of Investment property	33,Ikorodu road, Jibowu, Lagos State	
	Name of valuer	Ubosi Eleh & Co.	
	Address of valuer	27, Obafemi Awolowo Way, Ikeja, Lagos.	
	FRC number	FRCN/2014/NIESV/00000003997	
	NIESVA Reg. No	ESV A-576	
	Value (2025 N'000)	N750,000	
	Value (2024 N'000)	N660,000	

Description of valuation techniques used and key inputs to valuation on investment properties.

According to IAS 40, Investment Property, an entity must classify a property as investment property if it is held to earn rentals or for capital appreciation, rather than for use in the production or supply of goods or services, or for administrative purposes. The company owns a property which is located at 33,Ikorodu road, Jibowu, Lagos State(Cost: N787.4m) and occupies 6 out of 12 wings while leasing out the other 6 wings. Because 50% of the property is owner-occupied (for company use) and 50% is leased out to earn rental income, we have reclassified the leased out portion from property, plant and equipment to investment property.

The valuation of the properties is based on the price for which comparable land and properties are being exchanged or are being marketed for sale. (Open Market Basis Approach)

Location of Investment property	33,Ikorodu road, Jibowu, Lagos State
Level	Level 3
Valuation technique	Open market approach was adopted in arriving at the fair value through the analysis of comparable of recent rental values of similar properties within the neighbourhood.
Significant unobservable input	The land area is 1,240.01m ² . The neighbourhood comprises of commercial users.

25.3

Valuation		
Description	Details	
Location of Investment property	PLOT NO. 3345, CADASTRAL ZONE A10, MAITAMA II, MAITAMA DISTRICT ABUJA MUNICIPAL AREA COUNCIL FEDERAL CAPITAL TERRITORY	
Name of valuer	Ubosi Eleh & Co.	
Address of valuer	27, Obafemi Awolowo Way, Ikeja, Lagos.	
FRC number	FRCN/2014/NIESV/00000003997	
NIESVA Reg. No	ESV A-576	
Value (2025 N'000)	N157,000	
Value (2024 N'000)	N71,000	

Location of Investment property	PLOT NO. 3345, CADASTRAL ZONE A10, MAITAMA II, MAITAMA DISTRICT ABUJA MUNICIPAL AREA COUNCIL FEDERAL CAPITAL TERRITORY
Level	Level 3
Valuation technique	Direct market approach was adopted in arriving at the fair value through the analysis of similar properties that have recently been transacted upon in the open market within the locality and adjusting appropriately to take care of the peculiarities and level of completion of the subject property in arriving at the value.
Significant unobservable input	The land area is 2,617.67m ² . The neighbourhood comprises of commercial users.

By nature, detailed information on concluded transactions is difficult to come by. Therefore reliance was placed on past transactions and recent adverts in deriving the value of the subject properties. At least, eight properties were analysed and compared with the subject property.

Significant increases/(decreases) in estimated rental value and rent growth per annum in isolation would result in a significantly higher/(lower) fair value of the properties. Significant increases/(decreases) in the long-term vacancy rate and discount rate (and exit yield) in isolation would result in a significantly lower/(higher) fair value.

Generally, a change in the assumption made for the estimated rental value is accompanied by a similar change in the rent growth per annum and discount rate (and exit yield), and an opposite change in the long term vacancy rate.

Investment properties

There are no restrictions on the reliability of investment property or the remittance of income and proceeds of disposal. The Company has no contractual obligations to purchase, construct or develop investment property or for repairs or enhancement.

During the reporting period ended 31 December 2025, there were no transfers between level 1 and 2 and in and out of level 3.

25.4 Fair value disclosure on investment properties is as follows:

	Fair value measurement using			
	Quoted prices in active market Level 1	Significant observable inputs Level 2	Significant unobservable inputs Level 3	Total
Date of valuation - 31 December 2025	N'000	N'000	N'000	N'000
Investment property	-	-	1,107,000	1,107,000
Date of valuation - 31 December 2024				
Investment property	-	-	855,000	855,000

Description of valuation techniques used and key inputs to valuation on investment properties

Under the open market basis the current cost of reconstructing the existing structure together with improvement in today's market, adequately depreciated to reflect its physical wear and tear, age, functional and economical obsolescence plus site value in its existing use as at the date of inspection. The duration of the cash flows and specific timing of inflows are determined by event such as rent reviews, lease renewals and related re-letting, redevelopment, or refurbishment. The appropriate duration is typically driven by the agreement at the time of letting out the property. Periodic cash flow is typically estimated as gross income less non recoverable expense, collection losses, lease incentives, maintenance cost, agent and commission cost, and other operating and management expenses.

	2025 N'000	2024 N'000
25.5 Rental income derived from investment properties		
Direct operating expenses (including repairs & maintenance)	-	-
Profit arising from investment properties carried at fair value	-	-
	-	-
Classification	N'000	N'000
Current	1,107,000	855,000
Non-current	-	-
	1,107,000	855,000
26 Intangible assets	2025	2024
Costs		
At 1 January	60,519	60,519
At 31 December	60,519	60,519
Accumulated amortisation and impairment:		
At 1 January	19,652	7,566
Amortisation	11,915	12,086
At 31 December	31,567	19,652
Carrying amount:		
At 31 December	28,952	40,867
At 1 January	40,867	52,953

The intangible assets are non-current.

Intangible asset represent cost of insurance software (IES) acquire by the company

None of the Company's intangible assets is used as a pledged as security for borrowings or loans

27 Property, plant and equipment

	Motor Vehicles N'000	Building N'000	Land N'000	Computer Equipment N'000	Furniture and fittings N'000	Total N'000
Cost/revalued amount						
At 1 January 2024	299,916	527,300	276,000	131,411	124,513	1,359,140
Additions	66,300	-	-	21,231	8,540	96,071
Reclasification (Note 25)	-	(263,650)	(138,000)	-	-	(401,650)
Revaluation gain (Note 39)	-	396,350	-	-	-	396,350
At 31 December 2024	366,216	660,000	138,000	152,642	133,053	1,449,911
At 1 January 2025	366,216	660,000	138,000	152,642	133,053	1,449,911
Additions	104,878	-	-	32,383	46,258	183,519
Reclasification from investment property (Note 25)	-	-	35,500	-	-	35,500
Reclasification to investment property (Note 27(e))	-	-	(71,000)	-	-	(71,000)
Reclassification	-	(207,500)	207,500	-	-	-
Reversal of revaluation gain (Note 39)	-	(102,500)	-	-	-	(102,500)
Revaluation gain (Note 39)	-	60,000	30,000	-	-	90,000
Disposals	(25,060)	-	-	-	(2,442)	(27,502)
At 31 December 2025	446,034	410,000	340,000	185,025	176,869	1,557,928
Accumulated depreciation						
At 1 January 2024	187,733	94,831	-	121,779	112,732	517,075
Charge for the year	58,864	13,179	-	10,088	6,968	89,099
Reclassification	-	(54,005)	-	-	-	(54,005)
Revaluation gain (Note 39)	-	(54,005)	-	-	-	(54,005)
On disposals	-	-	-	-	-	-
At 31 December 2024	246,597	-	-	131,867	119,700	498,164
At 1 January 2025	246,603	-	-	131,867	119,693	498,163
Charge for the year	72,742	17,490	-	17,239	10,097	117,568
Revaluation gain (Note 39)	-	(17,490)	-	-	-	(17,490)
On disposals	(25,060)	-	-	-	(2,442)	(27,502)
At 31 December 2025	294,285	-	-	149,106	127,348	570,739
Carrying amount						
At 31 December 2025	151,749	410,000	340,000	35,919	49,521	987,189
At 31 December 2024	119,619	660,000	138,000	20,775	13,353	951,747

(a) All categories of property and equipment are initially recorded at cost. Subsequently, land and building are measured using revaluation model. The elimination adjustment shows the netting-off of accumulated depreciation against the carrying amount (previous revalued amount) in order to show the net book value as at the day of revaluation.

(b) There were no impairment losses on any class of assets during the year (2024: Nil)

(c) There were no capitalized borrowing costs (2024: Nil)

(d) There were no lien or encumbrances on any asset

(e) Abuja property was reclassified to investment property during the year as the land is held for capital appreciation.

(f) Land and buildings are measured using revaluation model

(g) **Land and building: historical cost**

If the revalued assets were carried using the cost model, the carrying amounts as at 31 December 2025 would be as follows:

	Land N'000	Building N'000
Cost	138,000	263,650
Additions	-	-
Net book value	138,000	263,650

27 Measurements of fair values

The fair value of land and building at the reporting date are determined by external, independent property valuers, having appropriate recognised professional qualifications and recent experience in the location and category of property being valued. The independent valuers provide the fair value of the property, annually.

The fair value measurement of land and building has been categorised as a Level 3 fair value based on the inputs to the valuation techniques used. The valuation techniques and significant unobservable inputs used in measuring the fair values of land and building are disclosed below.

There were no transfers between fair value hierarchies during the year.

Description of valuation techniques used and key inputs to valuation on investment properties

The valuation of the properties is based on the price for which comparable land and properties are being exchanged hands on or are being marketed for sale. (Open Market Basis Approach)

S/ N	Location of Land and building	Valuation technique	Significant unobservable input
1	Guinea Insurance House, 33, Ikorodu, Jibowu, Lagos	The basis of valuation is the Market value, that is, the price, which an interest in a property might reasonably be expected to realize in a sale by Private Treaty assuming: • a willing buyer; • a reasonable period within which to negotiate the sale taking into account the nature of the property and the state of the market; • values will remain static throughout the period; • the property will be freely exposed to the market; • no account is to be taken of an additional bid by a special purchaser; • no account is to be taken of expenses of realization, which may arise in the event of a	Area of the land is 1,240.01m². The neighbourhood is of high density area predominantly with both commercial and residential structures. Commercial properties such as block of office, eateries, banks, filling station. Motor park among others. The neighbourhood is a high density area.

By nature, detailed information on concluded transactions is difficult to come by. Therefore reliance was placed on past transactions and recent adverts in deriving the value of the subject properties. At least, eight properties were analysed and compared with the subject property.

Significant increases/(decreases) in estimated rental value and rent growth per annum in isolation would result in a significantly higher/(lower) fair value of the properties. Significant increases/(decreases) in the long-term vacancy rate and discount rate (and exit yield) in isolation would result in a significantly lower/(higher) fair value.

Generally, a change in the assumption made for the estimated rental value is accompanied by a directionally similar change in the rent growth per annum and discount rate (and exit yield), and an opposite change in the long term vacancy rate.

Under the open market basis the current cost of reconstructing the existing structure together with improvement in today's market, adequately depreciated to reflect its physical wear and tear, age, functional and economical obsolescence plus site value in its existing use as at the date of inspection. The duration of the cash flows and specific timing of inflows are determined by event such as rent reviews, lease renewals and related re-letting, redevelopment, or refurbishment. The appropriate duration is typically driven by the agreement at the time of letting out the property. Periodic cash flow is typically estimated as gross income less non recoverable expense, collection losses, lease incentives, maintenance cost, agent and commission cost, and other operating and management expenses.

		2025 N'000	2024 N'000
28	Statutory deposit	333,654	333,654
	This represents the amount deposited with the Central Bank of Nigeria as at 31 December, 2025 (2024: N333,654,000) in accordance with Section 10 (3) of Insurance Act 2003. Interest income was earned at an average rate of 10% per annum and this has been included within investment income.		
29	Insurance contract liabilities	N'000	N'000
	Liability for remaining coverage (Note 29.1)	692,057	476,425
	Liability for incurred claims (Note 29.2)	644,390	940,007
		1,336,447	1,416,432
29.1	Liability for remaining coverage by class		
	Liability for remaining coverage	N'000	N'000
	General Accident	273,049	144,970
	Fire	212,084	108,965
	Marine	21,605	26,315
	Motor	111,964	127,615
	Oil & Gas	73,355	68,560
		692,057	476,425
29.2	Liability for incurred claims	N'000	N'000
	General Accident	150,102	228,136
	Fire	119,055	158,024
	Marine	158,254	79,430
	Motor	105,200	120,918
	Oil & Gas	111,779	353,499
		644,390	940,007
29.3	Insurance contract liabilities excluding the insurance acquisition cash flow assets	N'000	N'000
	Insurance Contract Liabilities (excluding insurance acquisition cash flow assets and other pre-recognition cashflows)	1,336,447	1,519,947
	Insurance acquisition cash flow assets	-	(103,515)
	Other pre-recognition cashflows	-	-
	Insurance Contract Liabilities	1,336,447	1,416,432

29.4 Reconciliation of Insurance contracts issued, 31 December 2025

	Liability for remaining coverage		Liability for Incurred claims		
	Non-loss component N'000	Loss component N'000	Estimate of the present value of future cash flows N'000	Risk adjustment N'000	Total N'000
Insurance contract liabilities at 1 January 2025	458,162	18,263	825,213	114,793	1,416,432
Insurance contract assets at 1 January 2025	-	-	-	-	-
Net insurance contract liabilities at 1 January 2025	458,162	18,263	825,213	114,793	1,416,431
Insurance revenue (Note 8)	(2,928,303)	-	-	-	(2,928,303)
Insurance service expenses					
Incurred claims (Note 9)	-	-	517,531	(54,361)	463,170
Amortization of insurance acquisition cashflows (Note 9)	803,017	-	-	-	803,017
Losses and reversals of losses on onerous contracts	-	20,168	-	-	20,168
Insurance service result	(2,125,286)	20,168	517,531	(54,361)	(1,641,948)
Insurance finance expenses	-	-	-	-	-
Total changes in statement of profit or loss and OCI	(2,125,286)	20,168	517,531	(54,361)	(1,641,948)
Cash flows					
Premiums received	3,157,628	-	-	-	3,157,628
Insurance acquisition cash flows paid	(836,878)	-	-	-	(836,878)
Claims paid	-	-	(758,786)	-	(758,786)
Net cash inflow	2,320,750	-	(758,786)	-	1,561,964
Insurance contract liabilities at 31 December 2025	653,626	38,431	583,958	60,432	1,336,447
Insurance contract assets at 31 December 2025	-	-	-	-	-
Net Insurance contract liabilities at 31 December 2025	653,626	38,431	583,958	60,432	1,336,447

29.5 Reconciliation of insurance contracts issued, 31 December 2024

	Liability for remaining coverage		Liability for Incurred claims		
	Non-loss component N'000	Loss component N'000	Estimate of the present value of future cash flows N'000	Risk adjustment N'000	Total N'000
Insurance contract liabilities at 1 January 2024	387,068	-	618,070	67,049	1,072,187
Insurance contract assets at 1 January 2024	-	-	-	-	-
Net insurance contract liabilities at 1 January 2024	387,068	-	618,070	67,049	1,072,187
Insurance revenue (Note 8)	(2,837,251)	-	-	-	(2,837,251)
Insurance service expenses					
Incurred claims (Note 9)	-	-	956,250	47,744	1,003,994
Amortization of insurance acquisition cashflows (Note 9)	738,798	-	-	-	738,798
Losses and reversals of losses on onerous contracts	-	18,263	-	-	18,263
Insurance service result	(2,098,453)	18,263	956,250	47,744	(1,076,196)
Insurance finance expenses	-	-	(1,372)	-	(1,372)
Total changes in statement of profit or loss and OCI	(2,098,453)	18,263	954,878	47,744	(1,077,568)
Cash flows					
Premiums received	2,741,786	-	-	-	2,741,786
Insurance acquisition cash flows paid	(572,239)	-	-	-	(572,239)
Claims paid	-	-	(747,735)	-	(747,735)
Net cash inflow	2,169,547	-	(747,735)	-	1,421,812
Insurance contract liabilities at 31 December 2024	458,162	18,263	825,213	114,793	1,416,432
Insurance contract assets at 31 December 2024	-	-	-	-	-
Net Insurance contract liabilities at 31 December 2024	458,162	18,263	825,213	114,793	1,416,432

The actuarial valuation of the insurance contract liabilities as at 31 December 2025 was carried out by Logic Professional Services and signed by Mr Jonathan Ben Phiri with FRC number FRC/2016/NAS/00000005016. The Firm's FRC number is FRC/2020/00000013617

	Outstanding claims Reported N'000	Incurred But Not Reported N'000	Liability for incurred claims (PVFCF) N'000	Risk Adjustment N'000	Liability for incurred claims N'000
2025					
General accident	101,076	34,615	135,691	14,410	150,101
Fire	65,360	43,730	109,090	9,965	119,055
Marine	85,842	57,208	143,050	15,205	158,255
Motor	46,910	49,819	96,729	8,471	105,200
Oil and gas	78,118	21,280	99,398	12,381	111,779
	377,306	206,652	583,958	60,432	644,390
2024					
General accident	154,533	47,024	201,557	26,579	228,136
Fire	84,547	56,980	141,527	16,497	158,024
Marine	31,361	38,350	69,711	9,719	79,430
Motor	51,748	56,759	108,507	12,411	120,918
Oil and gas	289,694	14,217	303,911	49,588	353,499
	611,883	213,330	825,213	114,794	940,007

	2025	2024
Classification	N'000	N'000
Current	1,336,447	1,416,432
Non-current	-	-
	<u>1,336,447</u>	<u>1,416,432</u>

29.6 Outstanding claims provision: represents the ultimate cost of settling all claims arising from incidents reported as at the reporting date

Age analysis of outstanding claims is as follows:

Days	No. of Claimants	2025	2024
		N'000	N'000
0-90	51	42,827	39,450
91-180	28	9,119	20,065
181-270	27	11,599	38,416
271-365	36	39,390	27,467
Above 365	303	274,371	486,485
	<u>445</u>	<u>377,306</u>	<u>611,883</u>

S/N	Reasons	0-90 days		91-180 days		181-270 days		271-365 days		Above 365 days		Total	
		Qty	N'000	Qty	N'000	Qty	N'000	Qty	N'000	Qty	N'000	Qty	N'000
1	Discharged Voucher Signed and returned to policyholders	6	2,397	1	15	2	487	2	542	2	183	13	3,625
2	Discharge Vouchers not yet signed	4	2,135	3	1,050	2	2,436	5	14,859	9	4,648	23	25,128
3	Claims reported but incomplete documentation	14	26,411	0	-	2	300	3	1,000	58	48,639	77	76,349
4	Claims reported but being a	3	4,520	0	-	2	700	0	-	0	-	5	5,220
5	Claims Repudiated	0	-	0	-	0	-	0	-	1	1,000	1	1,000
6	Awaiting adjusters final report	1	350	1	350	2	2,300	0	-	8	15,042	12	18,042
7	Litigation awarded	0	-	0	-	0	-	0	-	2	2,000	2	2,000
8	Awaiting Lead insurer's instruction	23	7,015	22	7,686	17	5,375	26	22,989	223	202,859	311	245,924
9	Third party liability outstanding	0	-	0	-	0	-	0	-	0	-	0	-
10	Adjusters fee payable	0	-	1	17	0	-	0	-	0	-	1	17
11	Etc	0	-	0	-	0	-	0	-	0	-	0	-
	Total	51	42,827	28	9,118	27	11,599	36	39,390	303	274,371	445	377,305

Of the outstanding claims, 11% are within 90 days holding days period whilst 89% are above 90 days holding period. Most of the claims in these bands are largely outstanding due to Guinea's participation as co-insurer and not the lead, thus making it difficult to get relevant claims documents from the insured/brokers without going through the Lead on the accounts.

		2025	2024
		N'000	N'000
30	Other payables and accruals		
	Accrued expenses	24,700	14,983
	Deferred revenue (Note 30.1)	7,567	385
	Unclaimed dividend	4,855	3,784
	Union due and Guinea cooperative	123	130
	NAICOM levy	31,604	-
	Premium deposit	176	176
	Unallocated credit	50,622	100,959
	Other payables	10,746	76,089
		<u>130,393</u>	<u>196,506</u>
		N'000	N'000
	Current	130,393	196,506
	Non-current	-	-
		<u>130,393</u>	<u>196,506</u>
(a)	Unallocated credit represents premium received but yet to be documented for policy issuance.		
(b)	Other payables represent outstanding PAYE, NSITF, ITF, NHF, withholding tax, VAT, travel insurance, stale cheque and other creditors.		
30.1	Deferred revenue	N'000	N'000
	At 1 January	385	5,552
	Deferred rental income	(22,908)	8,483
	Amount released to the income statement	30,090	(13,650)
	At 31 December	<u>7,567</u>	<u>385</u>
	Deferred revenue represent rental income arising from rental properties and is accounted for on a straight line basis over the lease terms. Rental income is included in investment income.		
31	Employee benefit obligations		
	Defined benefit plan	N'000	N'000
	At 1 January	5,882	2,614
	Payment	(5,142)	3,268
	At 31 December	<u>740</u>	<u>5,882</u>
	Classified as		
	Current	740	5,882
	Non - current	-	-
		<u>740</u>	<u>5,882</u>
32	Current tax liability		
	The movement on tax payable account during the year is as follows:		
32.1	Current tax payable	N'000	N'000
	At 1 January	56,830	40,034
	Underprovision for the prior years	-	35,061
	Payments during the year	(30,760)	(47,542)
	Charge for the year	21,900	29,277
	At 31 December	<u>47,970</u>	<u>56,830</u>
33	Deferred tax liabilities	N'000	N'000
	At 1 January	56,594	108,036
	Deferred tax element of asset revaluation reserve (Note 40)	499	45,036
	Write back for the year (Note 17)	-	(96,478)
	At 31 December	<u>57,093</u>	<u>56,594</u>

Deferred income taxes are calculated on all temporary differences under the liability method using an effective tax rate of 10% (2024: 10%) on investment properties and 30% (2024: 30%) on other items.

34	Share capital and reserve	2025	2024
34.1	Issued and fully paid	N'000	N'000
	7,942,800,000 Ordinary shares of N0.50k each	3,971,400	3,971,400
		<u>3,971,400</u>	<u>3,971,400</u>

34.2	SHAREHOLDING STRUCTURE	2025	2024
		Unit	Unit
		Percentage	Percentage
	Issued share capital	7,942,800,000	7,942,800,000
	Substantial Shareholdings (5% and above)		-
	Chrome Oil Services Limited	4,298,514,210	4,298,514,210
	Nimek Investment Limited	1,288,252,777	1,288,252,777
		<u>5,586,766,987</u>	<u>5,586,766,987</u>
		66.56%	66.56%
	Free float in units and percentage	2,356,033,013	2,356,033,013
	Free float in value	₦3,486,928,859.24	₦1,130,895,846.24

COMPANY NAME	ADDRESS
Chrome Oil Services Limited	5, Idowu Taylor Street Victoria Island, Lagos
Nimek Investments Limited	Plot 228B, Muri Okunola Street Victoria Island, Lagos

Rules Governing Free Float Requirements.

In accordance with Rule 2.2 - Rules governing Free Float Requirement:

Guinea Insurance Plc complies with the Exchange's Free Float Requirement.

Shareholding Structure/Free Float Status

Description	31 DECEMBER 2025		31 DECEMBER 2024	
	Unit	Percentage	Unit	Percentage
Issued Share Capital	7,942,800,000	100%	7,942,800,000	100%
Substantial Shareholdings (5% and above)				
Chrome Oil Services Limited	4,298,514,210	54.12%	4,298,514,210	54.12%
Nimek Investment Limited	1,288,252,777	16.22%	1,288,252,777	16.22%
Total Substantial Shareholdings	5,586,766,987	70.34%	5,586,766,987	70.34%
Directors' Shareholdings (direct and indirect), excluding directors with substantial interests				
Mr. Temitope Borishade	-	-	-	-
Mr. Ademola Abidogun	-	-	-	-
Mrs. Ijeoma Pearl Okoro	-	-	-	-
Dr. Nkem Okeke	-	-	-	-
Mr. Samuel Onukwue	-	-	-	-
Mrs. Chioma Okigbo	-	-	-	-
Mr. Pius Edozor	-	-	-	-
Mrs Ogonna Offor-Orabueze	-	-	-	-
Mrs Bernice Izilen Okosun	-	-	-	-
Total Directors' Shareholdings	-	0.00%	-	0.00%
Other Influential Shareholdings				
[Name(s) of Entities/ Government]	-	-	-	-
Total Other Influential Shareholdings	-	-	-	-
Free Float in Units and Percentage	2,356,033,013	29.66%	2,356,033,013	29.66%
Free Float in Value	₦ 3,486,928,859.24		₦ 1,130,895,846.24	

Declaration:

A) Guinea Insurance Plc with a free float percentage of 29.66% as at December 31, 2025, is compliant with the Exchange's free float requirements for companies listed on the Main Board.

B) Guinea Insurance Plc with a free float percentage of 29.66% as at December, 31 2024, is compliant with the Exchange's free float requirements for companies listed on the Main Board.

Note:

* Share Price as at December 31, 2025 N1.48

* Share Price as at December 31, 2024 N0.48

35	Share premium	2025	2024
		N'000	N'000
	Balance at the beginning and end of the year	337,545	337,545

36 **Statutory contingency reserve**

In accordance with the Insurance Act of Nigeria, a contingency reserve is credited with the greater of 3% of total premium or 20% of profit of general insurance business and 1% of total premium or 10% profit for life business. This shall accumulate until it reach the amount of greater of minimum paid up capital or 50% of net premium.

	2025 N'000	2024 N'000
At 1 January	915,657	728,346
Transfer from accumulated losses (Note 38)	94,811	187,311
At 31 December	1,010,468	915,657

36.1	Transfer from statement of profit or loss: 3% of gross premium	N'000	N'000
	Transfer from statement of profit or loss: 20% of net profit	94,811	64,922
		70,659	187,311

37 **Accumulated losses**

	N'000	N'000
At 1 January	(1,101,892)	(1,851,134)
Profit for the year	353,297	936,553
Transfer to contingency reserve	(94,811)	(187,311)
At 31 December	(843,406)	(1,101,892)

38 **Fair value reserve**

	N'000	N'000
At 1 January	627,043	245,606
Fair value changes - Unquoted equity	263,415	381,437
At 31 December	890,458	627,043

39 **Asset revaluation reserve**

The movement in asset revaluation reserve is as follows:

	N'000	N'000
At 1 January	471,008	65,688
Reversal (Note 27)	(102,500)	-
Addition (Note 25)		
Cost	90,000	396,350
Accumulated depreciation	17,490	54,005
Transferred to deferred tax	(499)	(45,036)
Revaluation surplus on land and building net of tax	4,491	405,320
At 31 December	475,499	471,008

40 **Contingencies and commitments**

(a) Legal proceedings and regulations

The Company is a party to two legal actions during the year arising out of its normal business operations. Total estimated liability from the legal actions amount to N148 million (2024: N148 million). The Directors believe, based on currently available information and advice of the legal counsel, that none of the outcomes that will result from such proceedings will have a material adverse effect on the financial position of the Company. Cases involved include the following: GIP/CB/04/18/06366/ABJ, FCT/HC/CV/14/2019.

(b) Capital commitments

The Company had no capital commitments as at year end (2024: Nil)

41 **Contravention of laws and regulations**

The Company incurred the following penalty/fine during the year:

Description	2025 N'000	2024 N'000
Fine paid to Lagos State Government on Environmental laws Infractions	1,200	-
Additional Payment to SEC for the late filing of 2023 AFS	775	-
Fine paid to NAICOM for the violation of paragraph 5.10 and 5.22	-	1,600
Fine and penalty on late submission of 2023 audited and 2024 Q1 and Q2 unaudited financial statement to NGEX Limited	-	3,400
Fine and penalty on late submission of 2023 audited account and 2024 Q2 unaudited financial statement to Securities and Exchange Commission	-	3,176
	1,975	8,176

42 **Related party disclosures**

42.1 Related parties include the Board of Directors, the Managing Director, Finance Director and their close family members and any other employee who is able to exert significant influence on the operating policies of the Company.

42.2 **Transactions with key management personnel**

Key management personnel are those persons having authority and responsibility for planning, directing and controlling the activities of the Company directly or indirectly, including any director (whether executive or otherwise) of that Company. Refer to Note 43.2 (a) for amounts paid to directors of the Company during the year.

(a) Key management personnel compensation comprised:

	2025	2024
	N'000	N'000
Short-term employee benefits	67,946	67,946
Post-employment benefit	-	-
	<u>67,946</u>	<u>67,946</u>

(a) Details of significant transactions carried out with related parties during the year are as follows:

Transactions during the period

			2025	2024
Company/Individual	Type of relationship	Nature of transaction	N'000	N'000
	Common shareholder	Rental Income		
Choffan Nigerian Limited - (Kiss FM)			-	30,898

43 **Employees and directors**

43.1 **Employees**

The average number of persons employed by the Company during the year was as follows:

	2025	2024
	Number	Number
Executive directors	3	3
Management	5	5
Non-management	68	73
	<u>76</u>	<u>81</u>

The number of employees of the Company, other than non executive directors, who received emoluments in the following ranges (excluding pension contributions and certain benefits) were:

	Number	Number
Less than N800,001	-	-
N800,001 - N2,000,000	-	18
N2,000,001 - N2,800,000	-	27
N2,800,001 - N3,500,000	24	-
N3,500,001 - and Above	52	36
	<u>76</u>	<u>81</u>

43.2 **Directors**

Remuneration paid to the Company's directors (excluding pension contribution) was:

	N'000	N'000
Fees and sitting allowances	82,256	69,350
Executive compensation	67,946	67,946
	<u>150,202</u>	<u>137,296</u>
	N'000	N'000
The chairman	5,000	5,000
The highest paid director	67,946	42,880

Executive compensation is included as part of staff cost.

The number of directors who received fees and other emoluments (excluding pension contributions, certain benefits and reimbursable expenses) in the following ranges was:

44 **Dealings in Issuers' Shares**

The Company has a Securities Trading Policy which governs the trading of the Company's Securities by Insiders. The Policy has been circulated to all Directors and employees and also uploaded on the Company's website. The Company has contacted the Directors and they confirmed compliance with the Policy and the required provisions set out in Exchange's rule during the quarter under review. This is In compliance with the provisions of Security and Exchange Commission Rule 17.15(d).

45	Notes to statement of cash flows	Notes	2025	2024
45.1	Payments to employees		N'000	N'000
	Employee benefits expenses	15.1	(761,863)	(475,916)
	Pension costs	15.1	(26,287)	(18,415)
	Decrease in employee benefit obligations	31	(5,142)	3,268
			<u>(793,292)</u>	<u>(491,063)</u>
45.2	Other operating cash payments		N'000	N'000
	Other operating expenses		(1,708,273)	(1,486,038)
	Employee benefits expenses	15.1	788,150	494,331
	Accrued interest on statutory deposit	24	34,998	2,399
	Unrealised foreign exchange (loss)/gain on fixed deposits	11.1	(51,422)	485,554
	Foreign exchange gains	14	-	30,842
	Change in trade receivables	23	53,467	(47,388)
	Brought forward trade receivable recovered in the year	45.6	(56,218)	(8,830)
	Change in other receivables and prepayments	24	(45,267)	(63,313)
	Depreciation of property, plant and equipment	27	117,568	89,098
	Amortisation of intangible assets	26	11,915	12,086
	Change in other payables and accruals	30	(66,113)	(96,273)
	Premium deposit	30	-	(176)
	Reclassification of long term deposit	21.4	(15,091)	-
	Others		1	(1)
			<u>(936,285)</u>	<u>(587,709)</u>
45.3	Investment income received		N'000	N'000
	Investment income	11	656,323	325,277
	Accrued interest on statutory deposit	24	(34,998)	(2,399)
	Accrued interest income on treasury bills	24	(388,378)	(174,415)
			<u>232,947</u>	<u>148,463</u>
45.4	Other income received		N'000	N'000
	Other operating income	14	53,765	168,979
	Gain on disposal of property, plant and equipment	14	(32,500)	-
	Foreign exchange gains	14	-	(30,842)
			<u>21,265</u>	<u>138,137</u>
45.5	Proceeds from disposal of property and equipment		N'000	N'000
	Cost of property and equipment disposed	27	(27,502)	(396,350)
	Accumulated depreciation of property and equipment disposed	27	27,502	-
	Gain on disposal of property and equipment	14	32,500	-
	Proceeds on disposal		<u>32,500</u>	<u>(396,350)</u>
45.6	Premium received		N'000	N'000
	Premium received in 2025	29.4	3,157,628	2,741,786
	brought forward trade receivable recovered in the year	45.2	56,218	8,830
			<u>3,213,846</u>	<u>2,750,616</u>

VALUE ADDED STATEMENT

for the year ended 31 December 2025

	2025		2024	
	N'000	%	N'000	%
Insurance revenue	2,928,303		2,837,251	
Insurance service expenses and net expenses on reinsurance contracts	(2,552,015)		(2,018,453)	
Investment and other income	967,553		868,441	
Value added	<u>1,343,841</u>	<u>100</u>	<u>1,687,239</u>	<u>100</u>
Applied as follows:				
Salaries, wages and other benefits	788,150	59	494,331	29
Government taxes	(21,900)	(2)	(32,140)	(2)
Retained in the business				
Depreciation and amortization of property and equipment and Intangible assets	129,483	10	101,184	6
Appropriation to contingency reserve	94,811	7	187,311	11
Profit for the year	353,297	26	936,553	56
	<u>1,343,841</u>	<u>100</u>	<u>1,687,239</u>	<u>100</u>

FIVE YEAR FINANCIAL SUMMARY

	IFRS 17				
	2025 N'000	2024 N'000	2023 N'000	2022 N'000	2021 N'000
ASSETS					
Cash and cash equivalents	1,398,478	1,313,551	1,025,935	386,998	383,566
Financial assets:					
At fair value through profit or loss	139,547	96,001	79,171	70,761	61,261
At fair value through other comprehensive income	984,138	720,723	339,286	299,063	227,268
At amortised cost	1,903,452	1,837,574	1,745,367	1,424,569	971,998
Reinsurance Contract Assets	350,145	613,634	365,119	305,865	302,527
Trade receivables	2,751	56,218	8,830	-	-
Other receivables and prepayments	179,301	134,034	70,721	343,290	47,936
Investment properties	1,107,000	855,000	150,000	113,000	106,300
Intangible asset	28,952	40,867	52,953	3,514	4,900
Property, plant and equipment	987,189	951,747	842,065	863,620	934,001
Statutory deposit	333,654	333,654	333,654	333,654	333,654
Total Assets	7,414,607	6,953,003	5,013,101	4,144,334	3,373,411
EQUITY & LIABILITIES					
Share Capital & Reserves:					
Issued share capital	3,971,400	3,971,400	3,971,400	3,070,000	3,070,000
Share premium	337,545	337,545	337,545	337,545	337,545
Contingency reserve	1,010,468	915,657	728,346	632,792	592,015
Accumulated losses	(843,406)	(1,101,892)	(1,851,134)	(2,233,350)	(2,109,300)
Fair value reserve	890,458	627,043	245,606	205,383	133,585
Asset revaluation	475,499	471,008	65,688	65,688	65,688
Total Equity	5,841,964	5,220,761	3,497,451	2,078,058	2,089,533
Liabilities					
Insurance contract liabilities (IFRS 17)	1,336,447	1,416,432	1,072,187	851,682	788,511
Other payables and accruals	130,393	196,506	292,779	168,616	202,554
Employee benefit obligations	740	5,882	2,614	7,575	11,034
Current tax payable	47,970	56,830	40,034	26,992	20,368
Deferred tax liabilities	57,093	56,594	108,036	110,011	110,011
Deposit for shares				901,400	151,400
Total Liabilities	1,572,643	1,732,242	1,515,650	2,066,276	1,283,878
Total Equity & Liabilities	7,414,607	6,953,003	5,013,101	4,144,334	3,373,411

Guinea Insurance Plc
Financial statements, 31 December 2025
In thousands of Naira
Other National Disclosures

STATEMENT OF COMPREHENSIVE INCOME

	IFRS 17				
	2025 N'000	2024 N'000	2023 N'000	2022 N'000	2021 N'000
Insurance revenue	2,928,303	2,837,251	2,077,012	1,390,650	1,340,833
Insurance service result	1,155,538	1,048,596	673,682	594,386	537,643
Profit/(loss) before taxation	375,197	904,413	499,649	(75,358)	(72,788)
Taxation	(21,900)	32,140	(21,879)	(7,915)	36,540
Profit/(loss) for the year	353,297	936,553	477,770	(83,273)	(36,248)
Transfer to contingency reserve	94,811	187,311	95,554	40,777	40,692
Earning/(loss) per N1 share (basic)	4.45	11.79	6.02	(1.36)	(0.59)